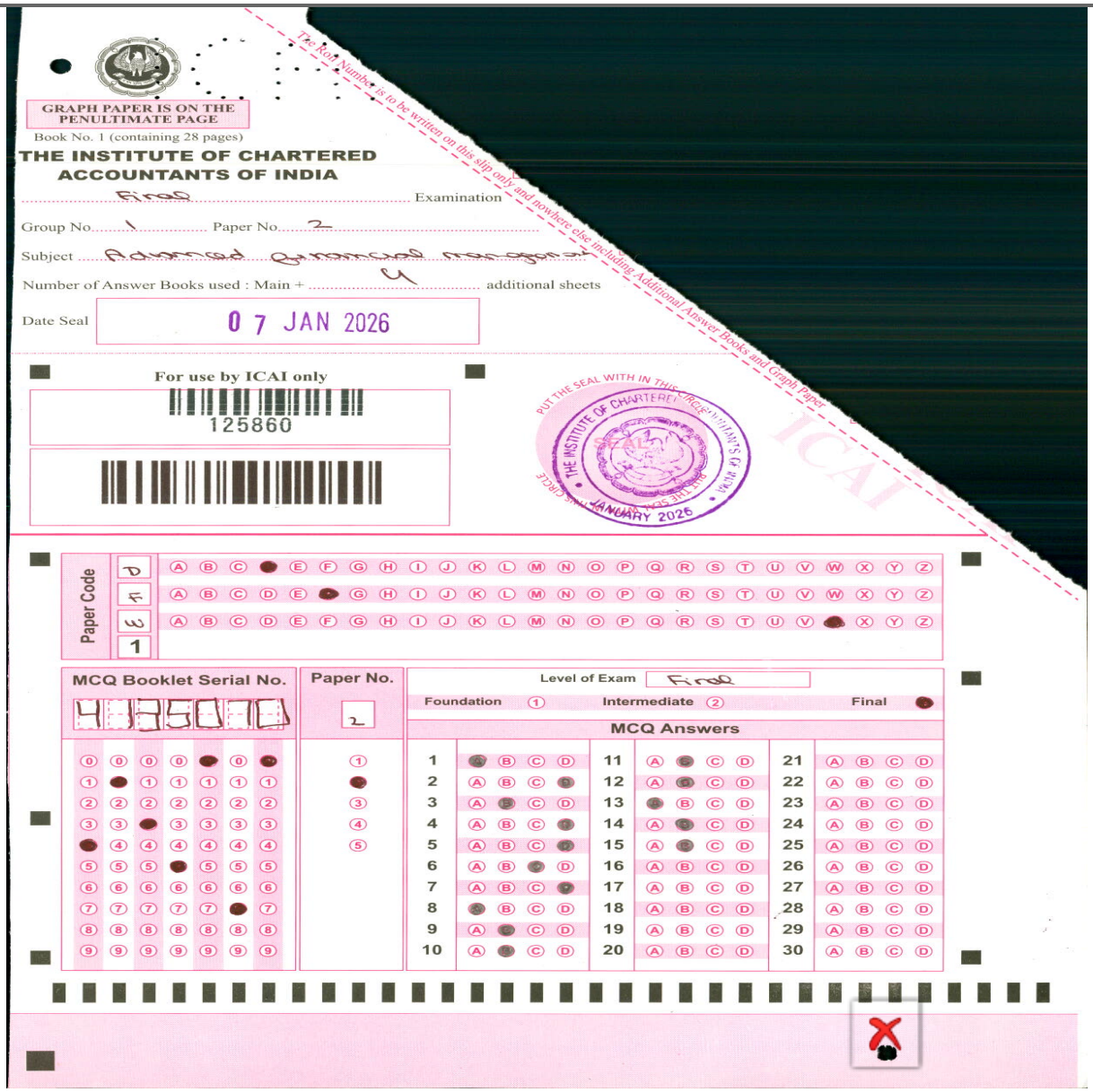
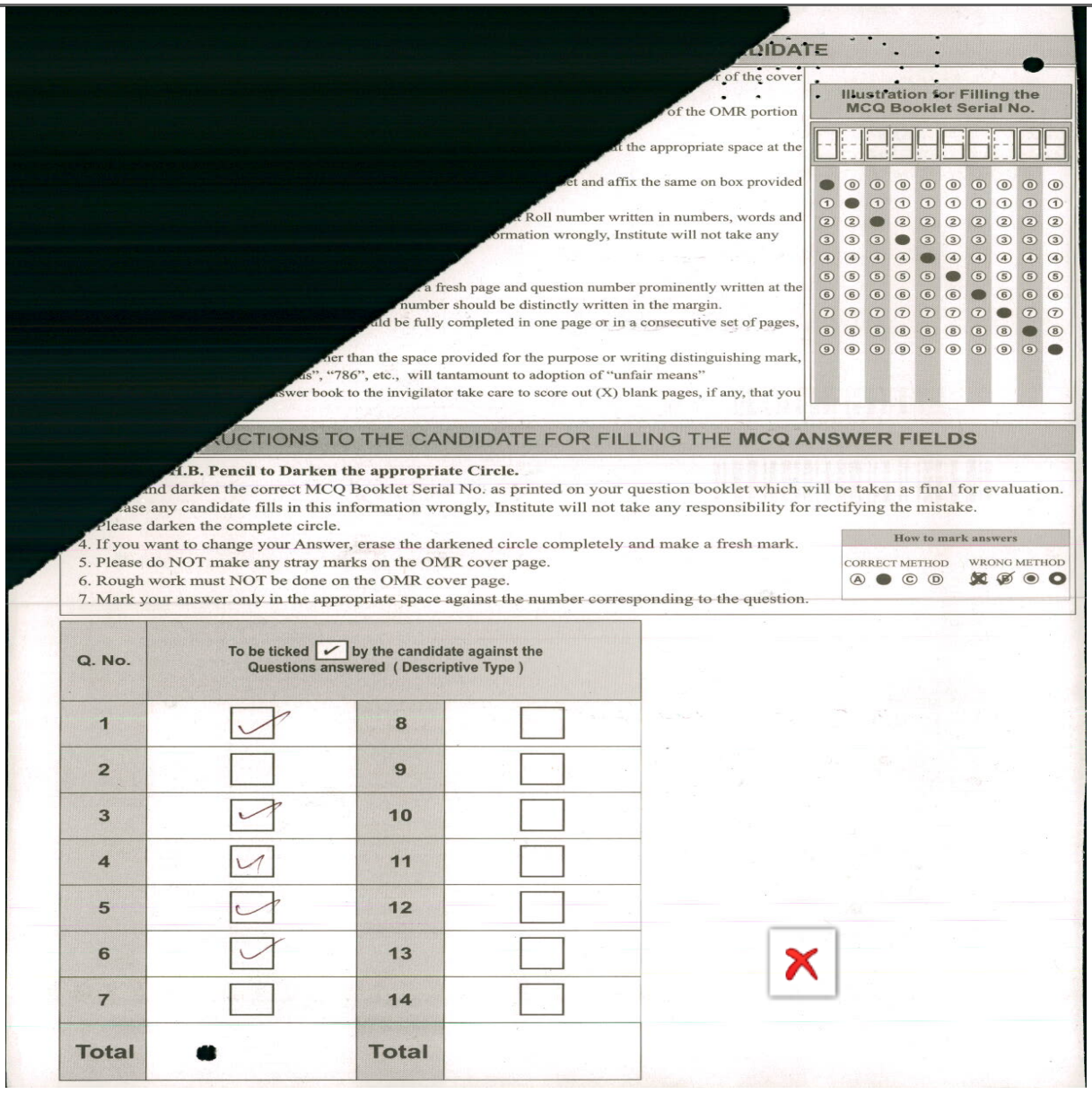
The Institute of Chartered Accountants of India

Code:	**FN2AF125860**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**44**



The Institute of Chartered Accountants of India

Code:	**FN2AF125860**	**Total Marks:**	**70**
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...ormation wrongly, Institute will not take any

...a fresh page and question number prominently written at the ... number should be distinctly written in the margin.

...uld be fully completed in one page or in a consecutive set of pages,

...ner than the space provided for the purpose or writing distinguishing mark, ...s", "786", etc., will tantamount to adoption of "unfair means"

...swer book to the invigilator take care to score out (X) blank pages, if any, that you

Illustration for Filling the MCQ Booklet Serial No.

...UCTIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

...**I.B. Pencil to Darken the appropriate Circle.**

...nd darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation. ...ase any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.

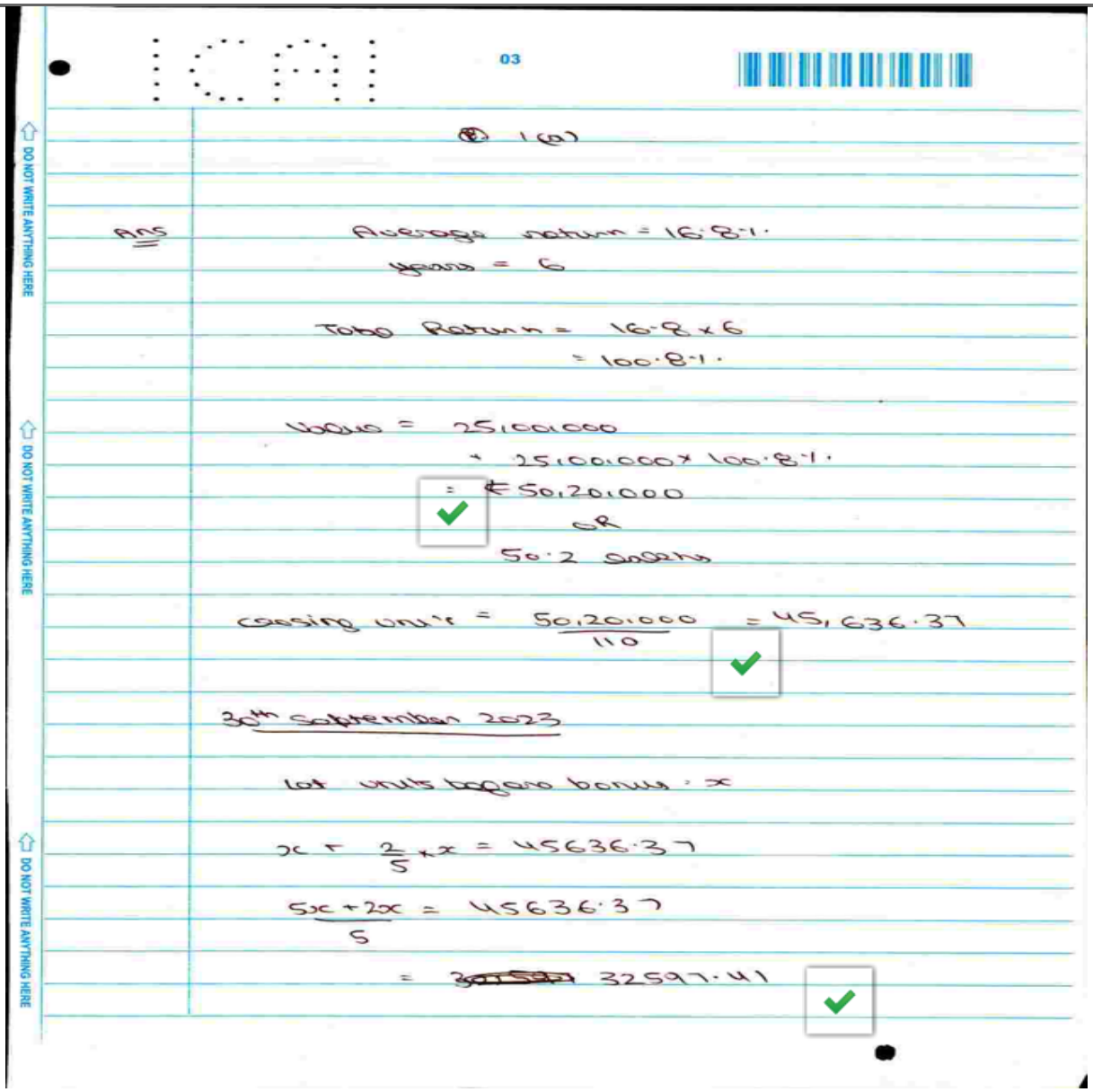
3. Please darken the complete circle.
4. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers

CORRECT METHOD WRONG METHOD

Ⓐ ● Ⓒ Ⓓ Ⓐ Ⓑ ◉ ⊖

Q. No.	To be ticked ☑ by the candidate against the Questions answered (Descriptive Type)		
1	☑	8	☐
2	☐	9	☐
3	☑	10	☐
4	☑	11	☐
5	☑	12	☐
6	☑	13	☐
7	☐	14	☐
Total	●	Total	



03

Q 1(a)

Ans

Average return = 16·8·1·

years = 6

Total Return = 16·8 × 6

= 100·8·1·

Value = 25,00,000

+ 25,00,000 × 100·8·1·

= ₹ 50,20,000

OR

50·2 lakhs

closing unit = 50,20,000 / 110 = 45,636·37

30th September 2023

let units bought bonus : x

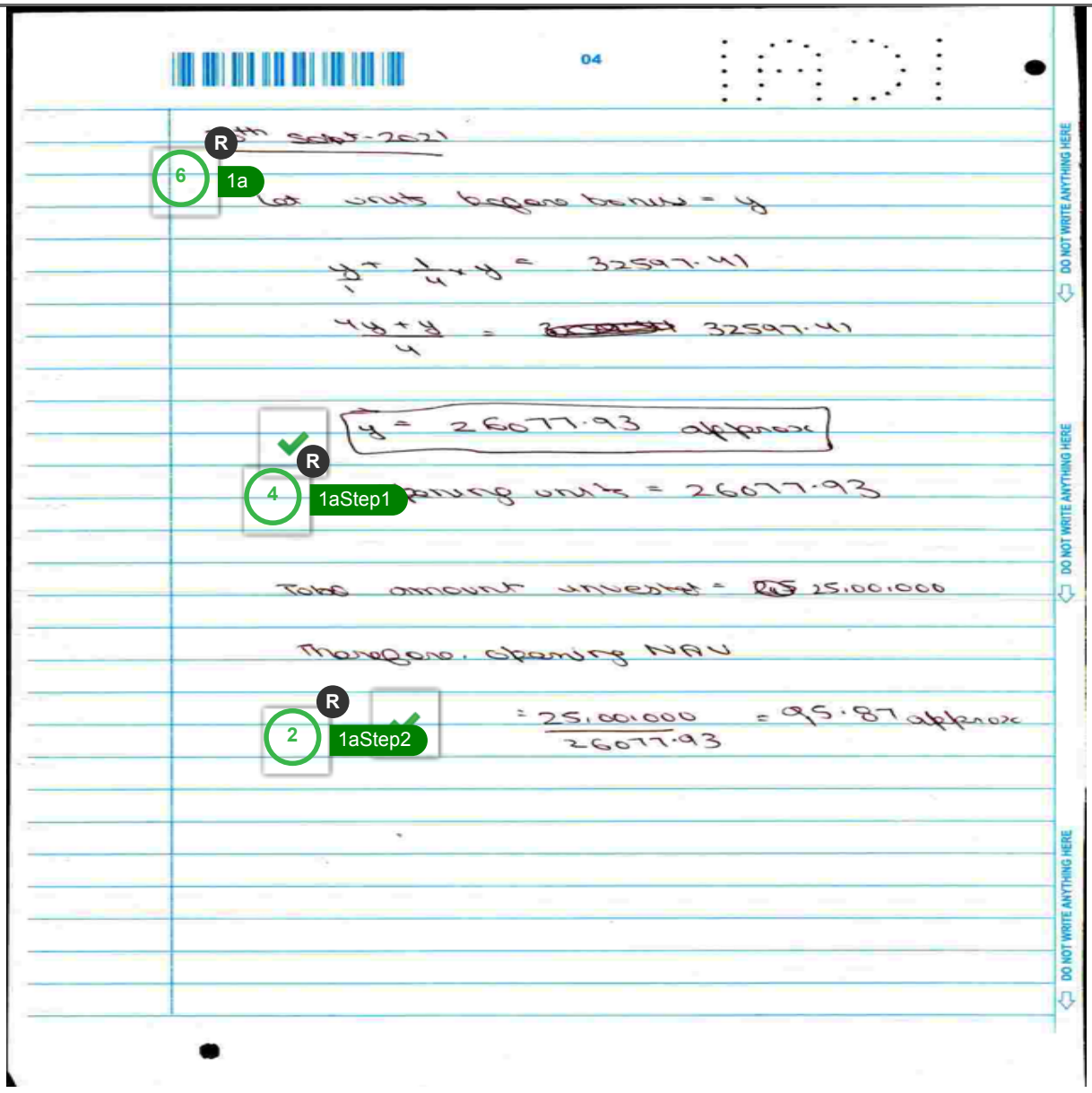
$x + \frac{2}{5}x = 45636.37$

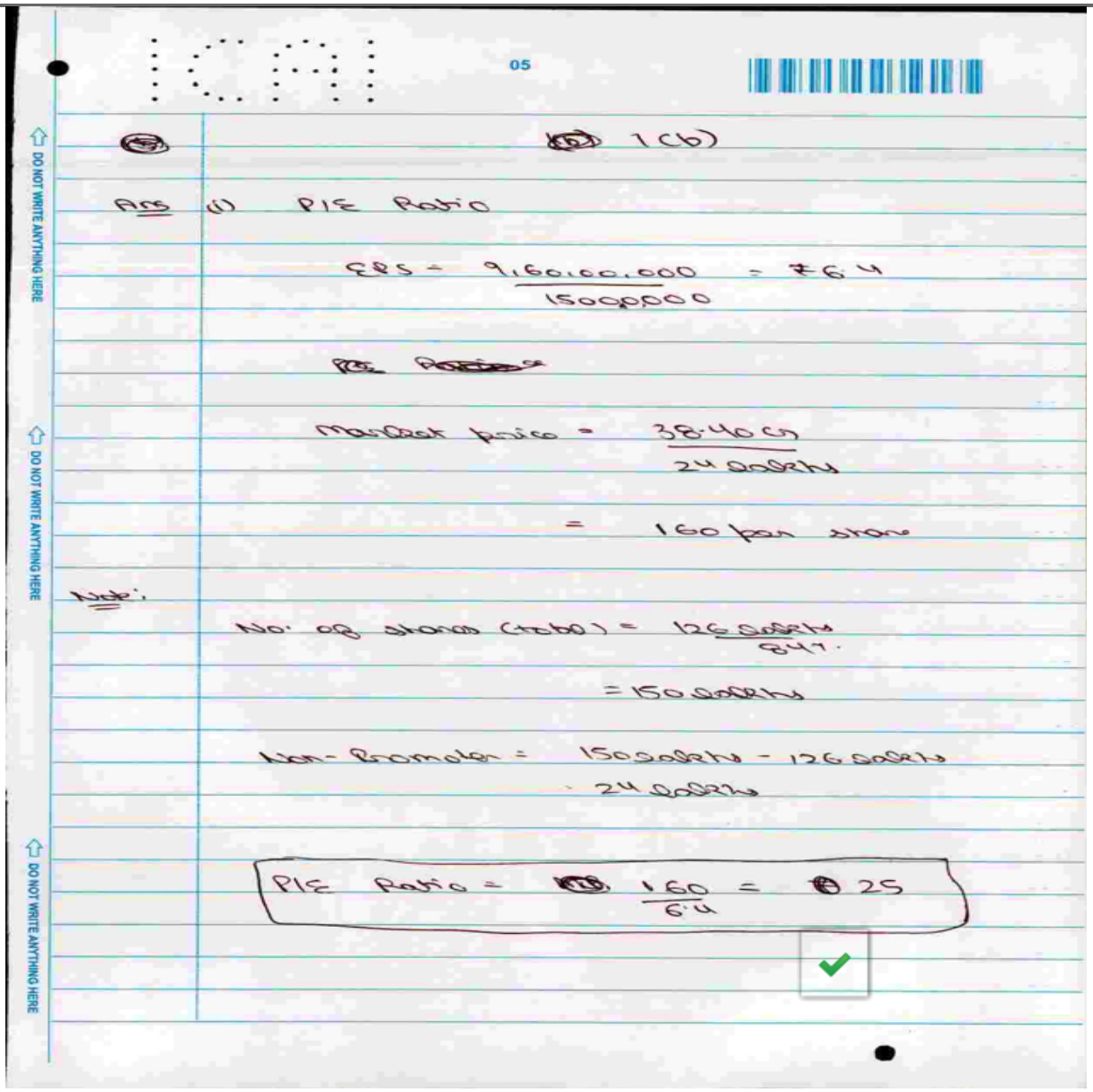
$\frac{5x + 2x}{5} = 45636.37$

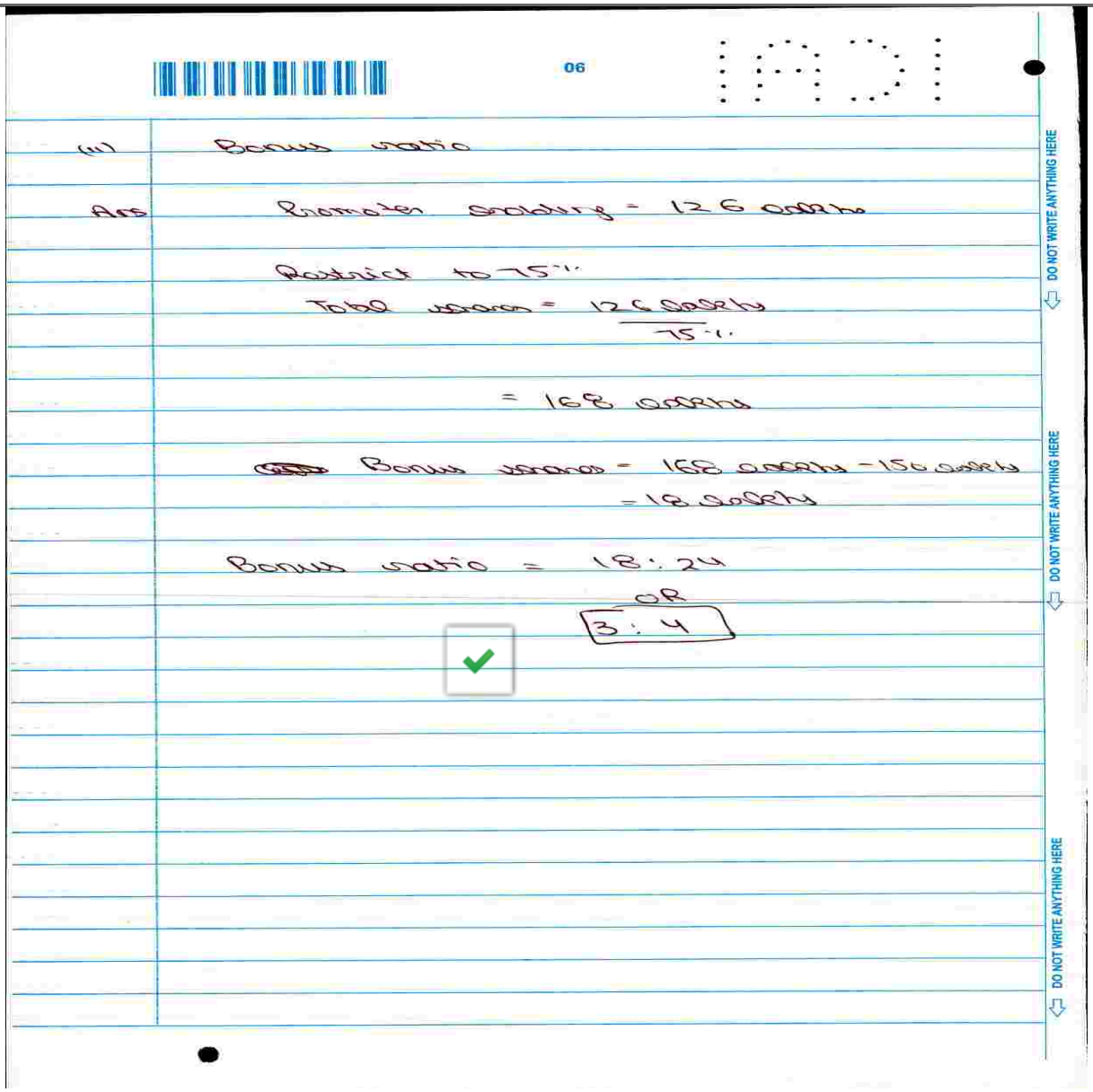
= 32597·41

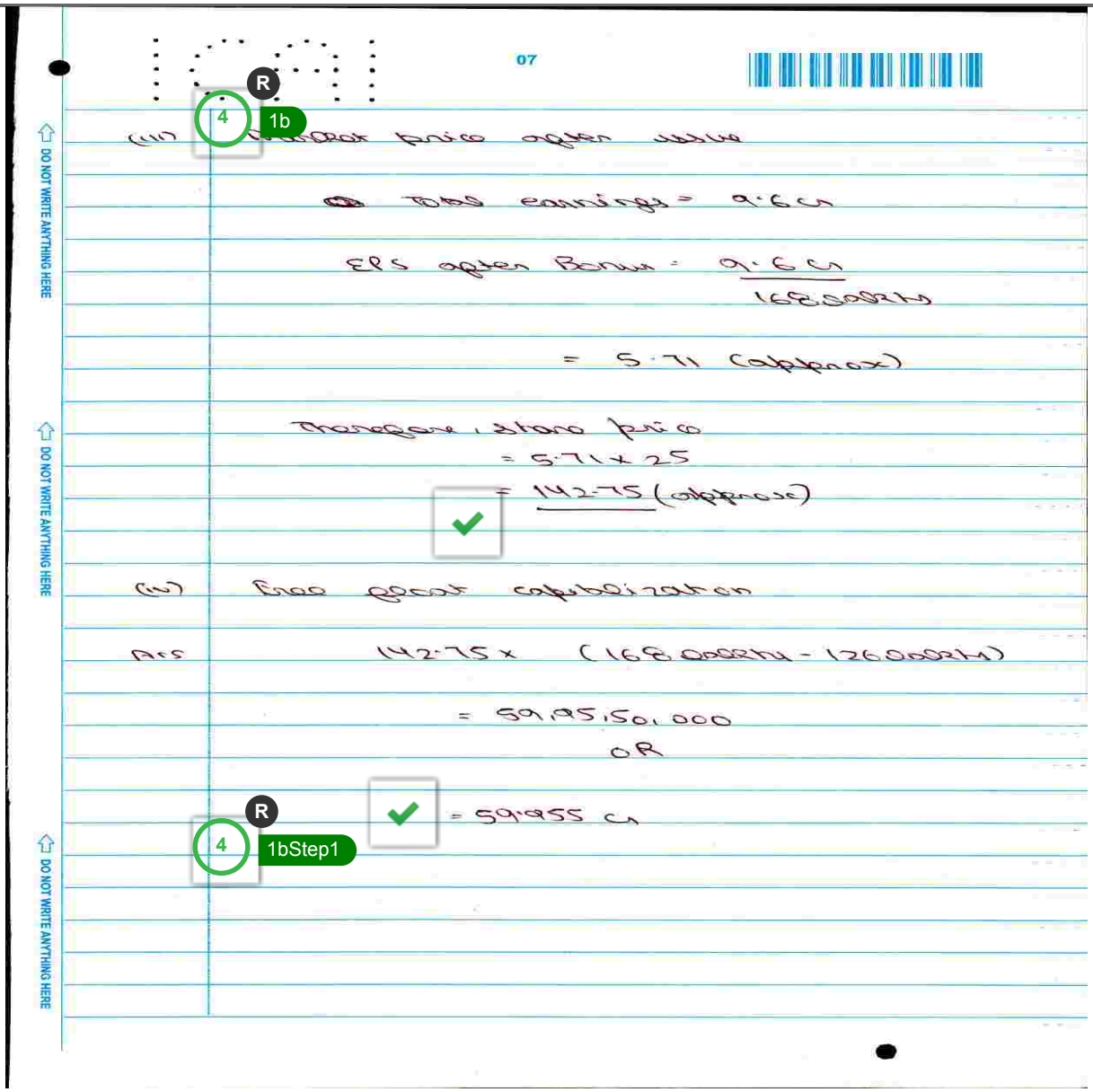
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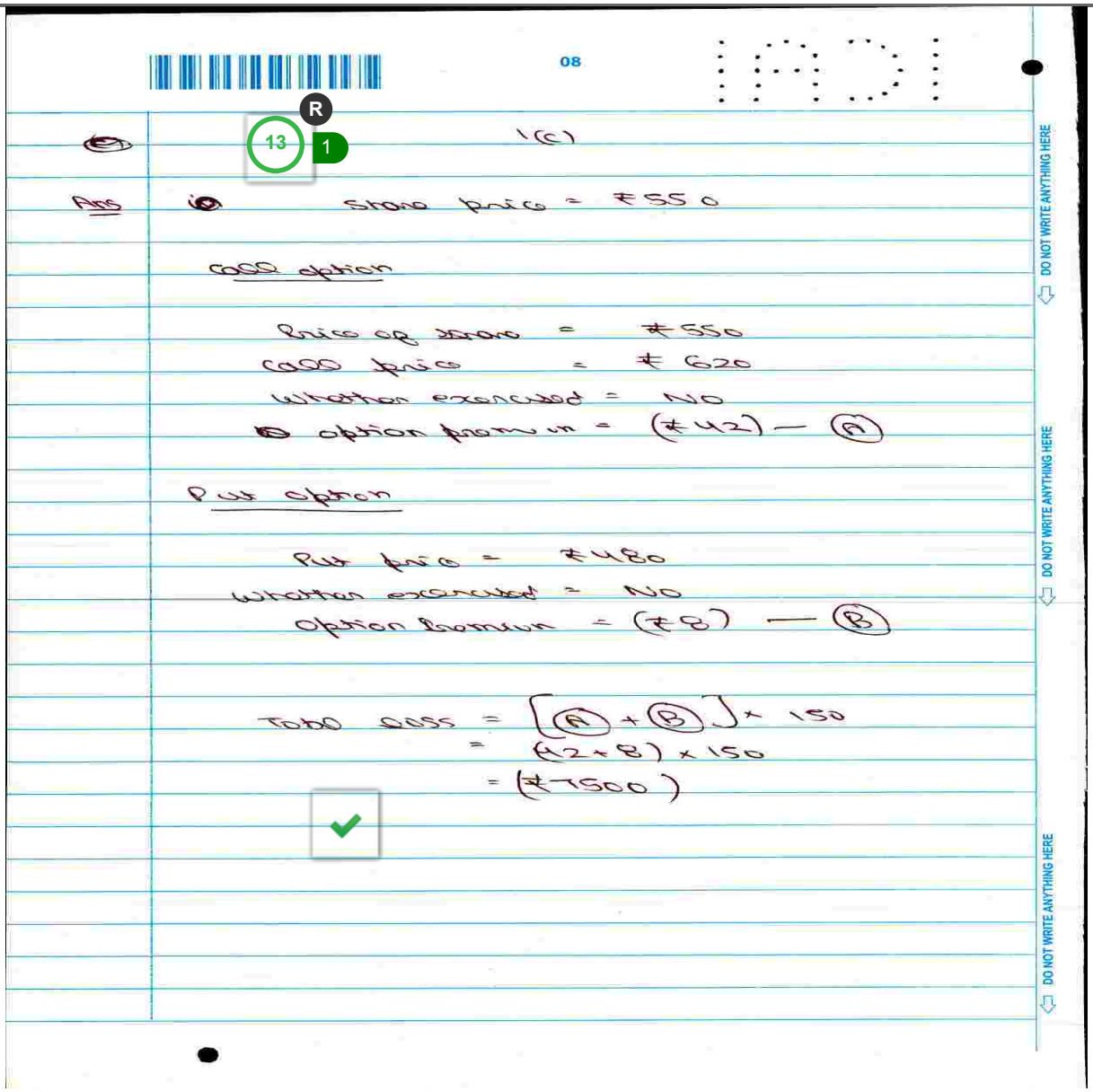
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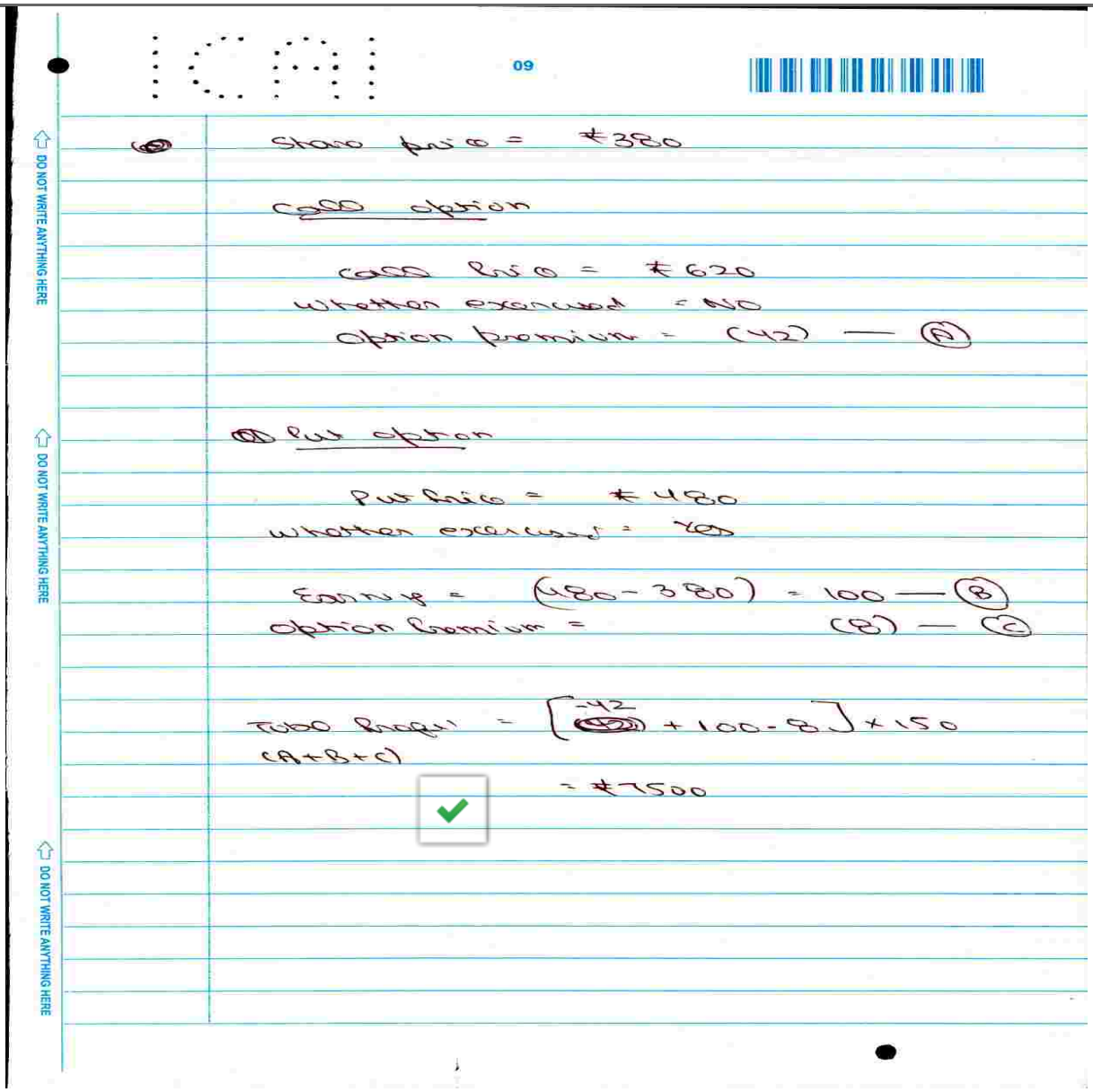



05
1(b)
Ans (i) P/E Ratio
EPS = 9,60,00,000 / 15000000 = ₹6.4
Market price = 38.40 Cr / 24 Lakhs
= 160 per share
Note:
No. of shares (77.60) = 126 Lakhs / 84%
= 150 Lakhs
Non-Promoter = 150 Lakhs - 126 Lakhs
24 Lakhs
P/E Ratio = 160 / 6.4 = 25
DO NOT WRITE ANYTHING HERE
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06
(iii) Bonus ratio
Ans Promoter holding = 126 lakhs
Restrict to 75%
Total shares = 126 lakhs / 75%
= 168 lakhs
Bonus shares = 168 lakhs - 150 lakhs
= 18 lakhs
Bonus ratio = 18 : 24
OR
3 : 4
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE


07
R
4
1b
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
R
4
1bStep1


08
R
13
1
1(c)
Ans
Share price = ₹550
Call option
Price of share = ₹550
Call price = ₹620
Whether exercised = NO
Option premium = (₹42) — (A)
Put option
Put price = ₹480
Whether exercised = NO
Option premium = (₹8) — (B)
Total loss = [(A) + (B)] × 150
= (42 + 8) × 150
= (₹7500)
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09

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Share price = ₹380

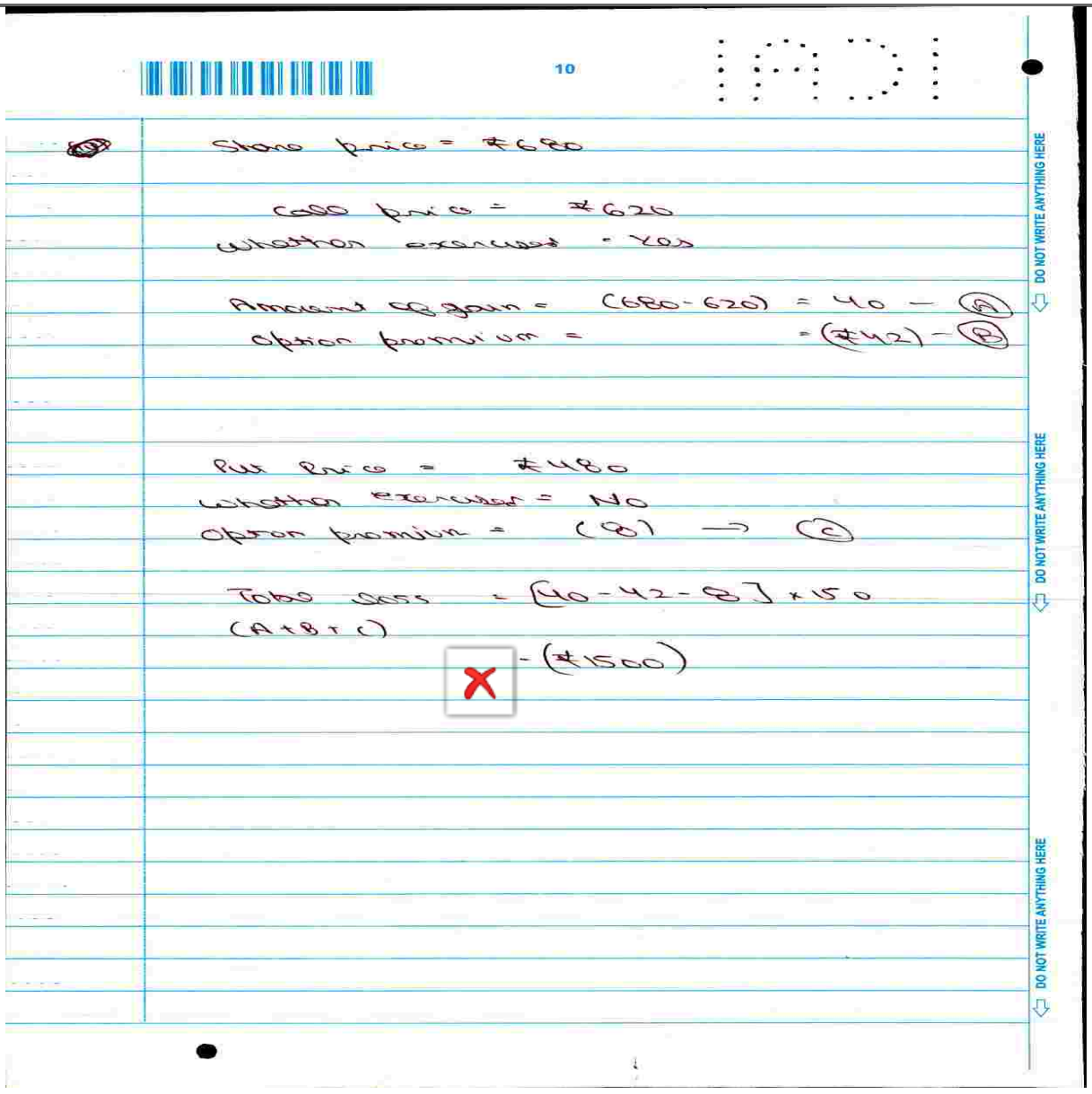
Call option

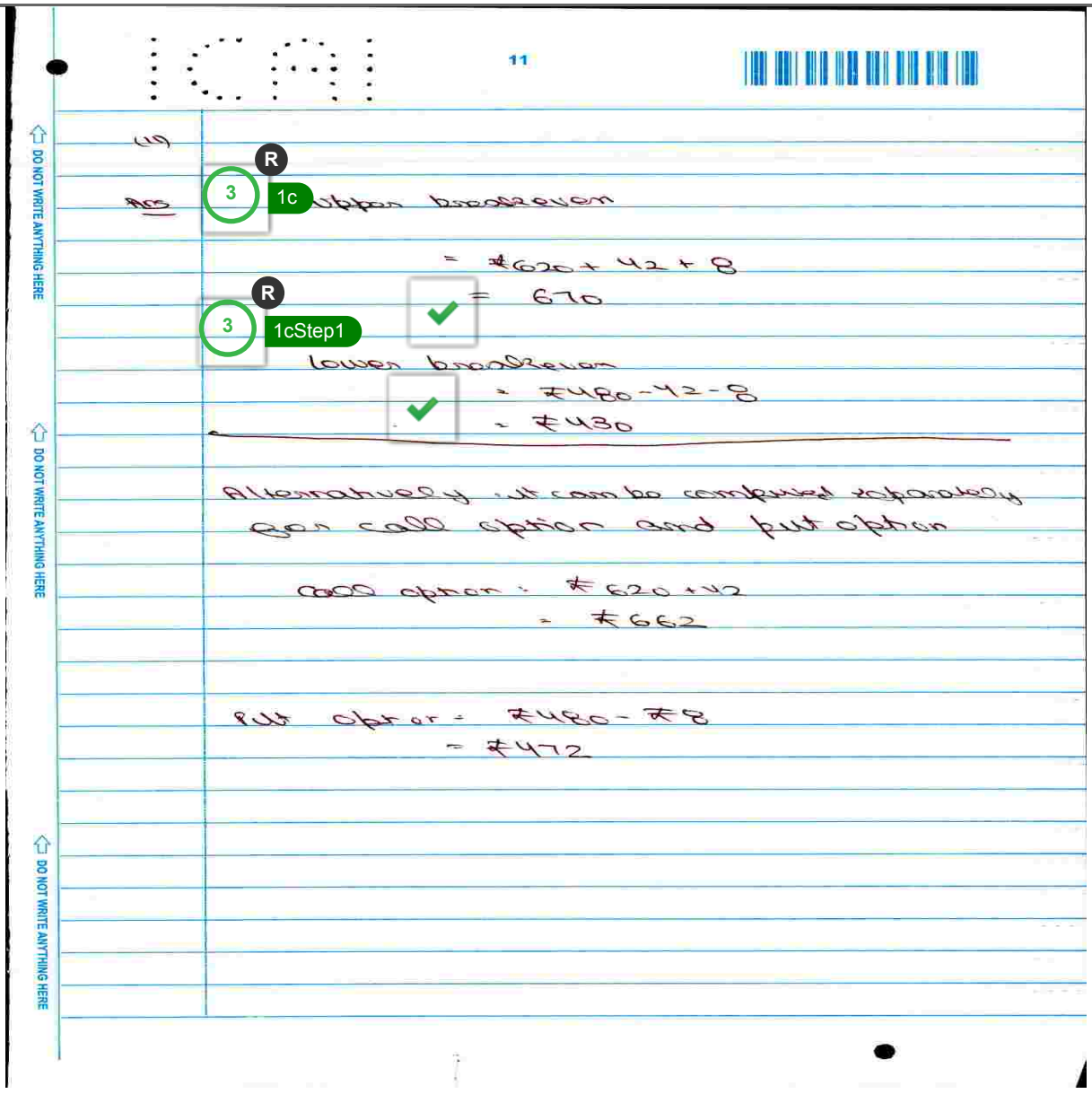
Call price = ₹620
Whether exercised = No
Option premium = (42) — (A)

Put option

Put price = ₹480
Whether exercised = Yes
Earned = (480 − 380) = 100 — (B)
Option premium = (B) — (C)

Total profit = [−42 + 100 − 8] × 150
(A+B+C)
= ₹7500


10
Share price = ₹680
Call price = ₹620
whether exercised - Yes
Amount of gain = (680-620) = 40 — (A)
option premium = = (₹42) — (B)
Put Price = ₹480
whether exercised = No
option premium = (8) → (C)
Total loss = [40-42-8] × 150
(A+B+C)
= (₹1500)
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
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Q4

Ans

3 R 1c

= ₹620 + 42 + 8

= 670

3 R 1cStep1

Lower breakeven

= ₹480 - 42 - 8

= ₹430

Alternatively, it can be computed separately for call option and put option

Call option : ₹620 + 42

= ₹662

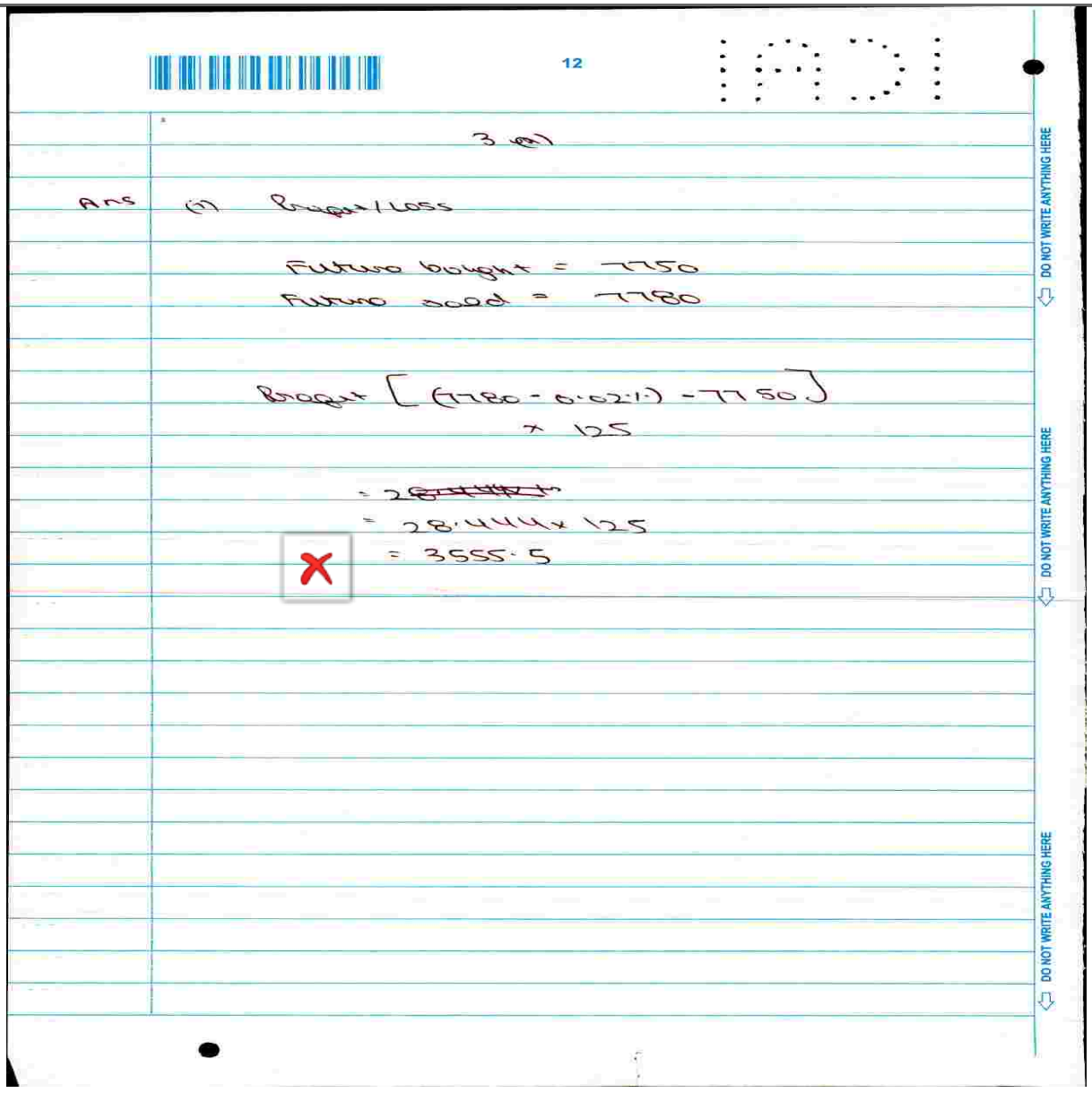
Put option : ₹480 - ₹8

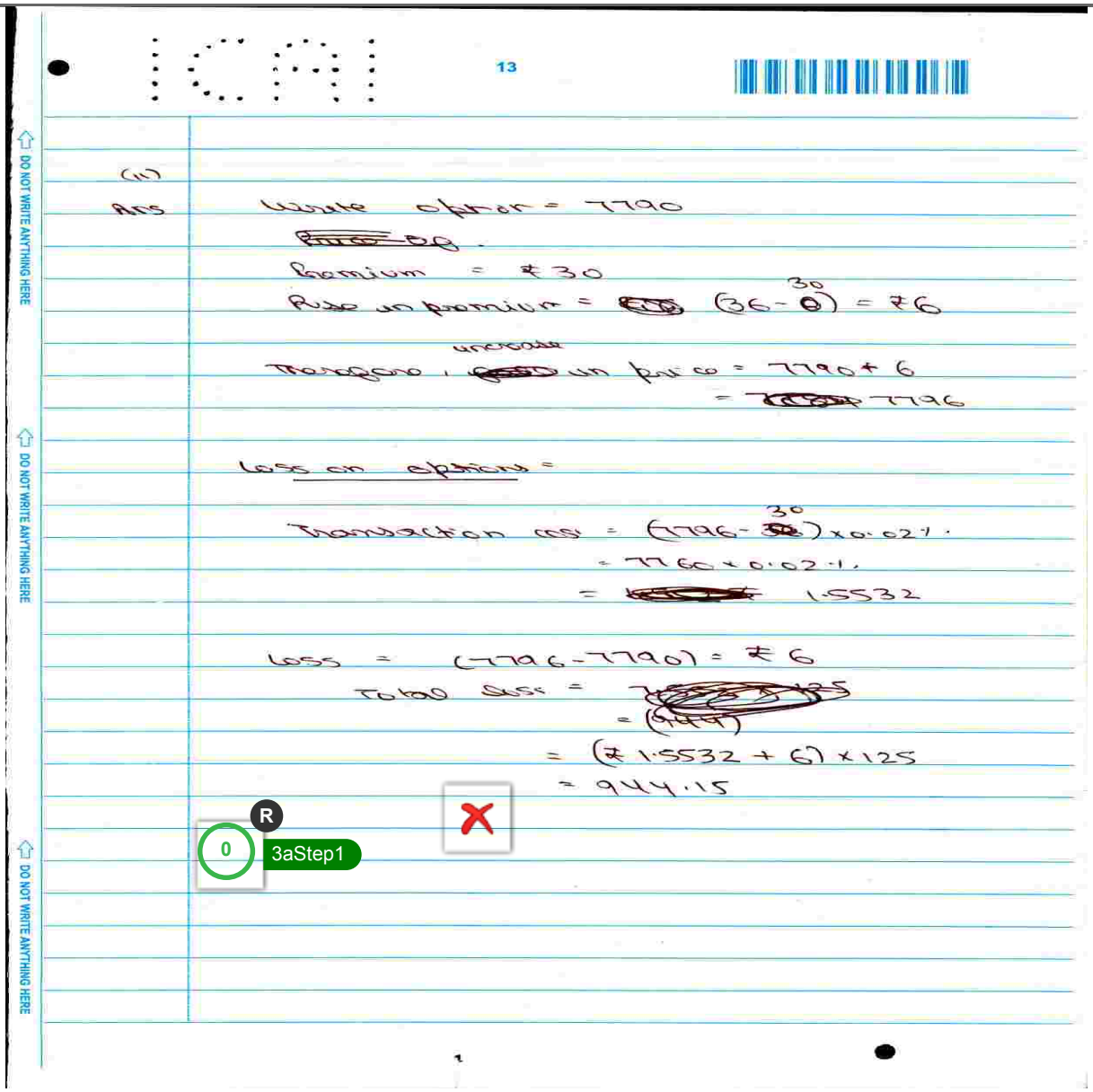
= ₹472

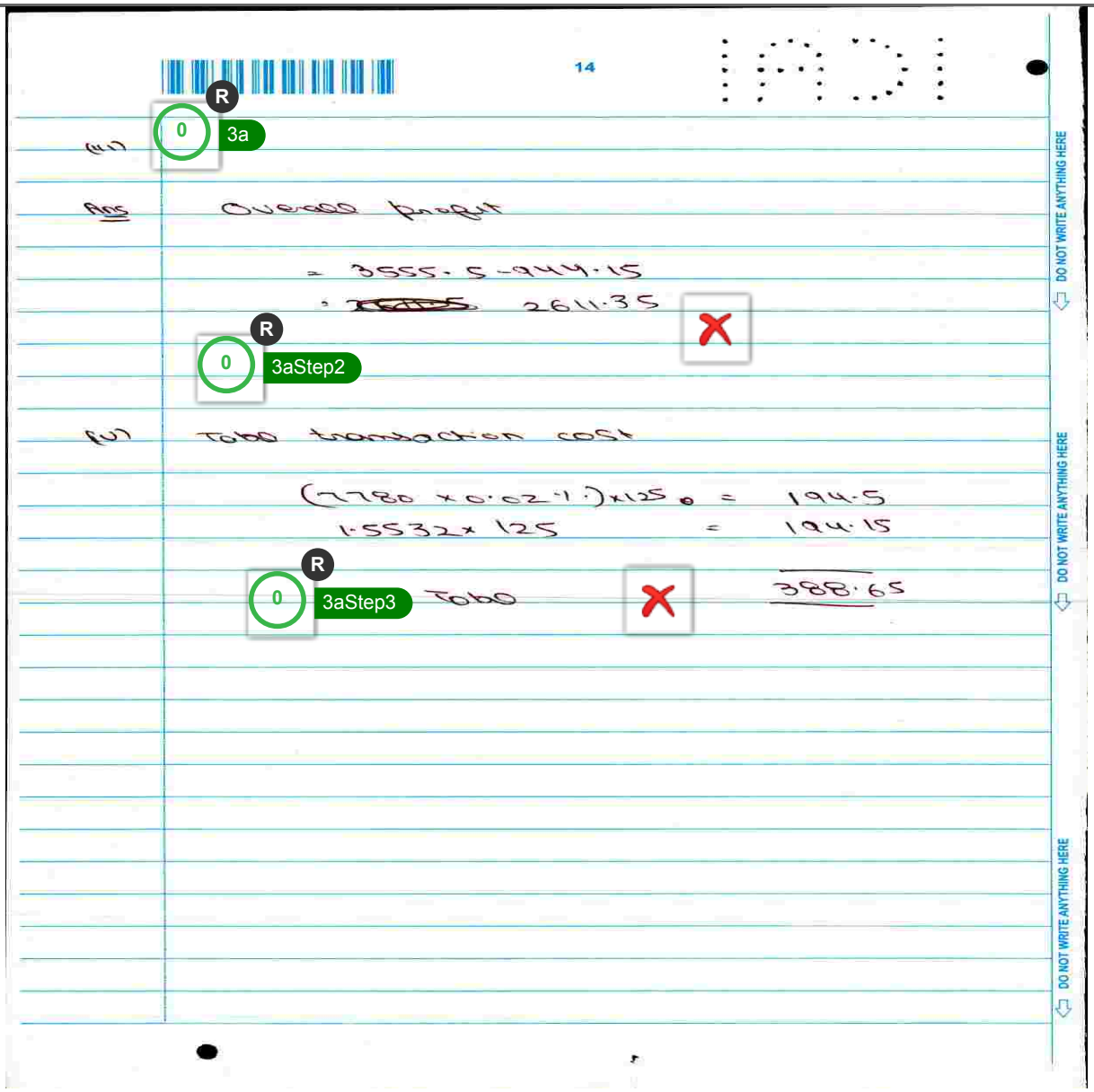
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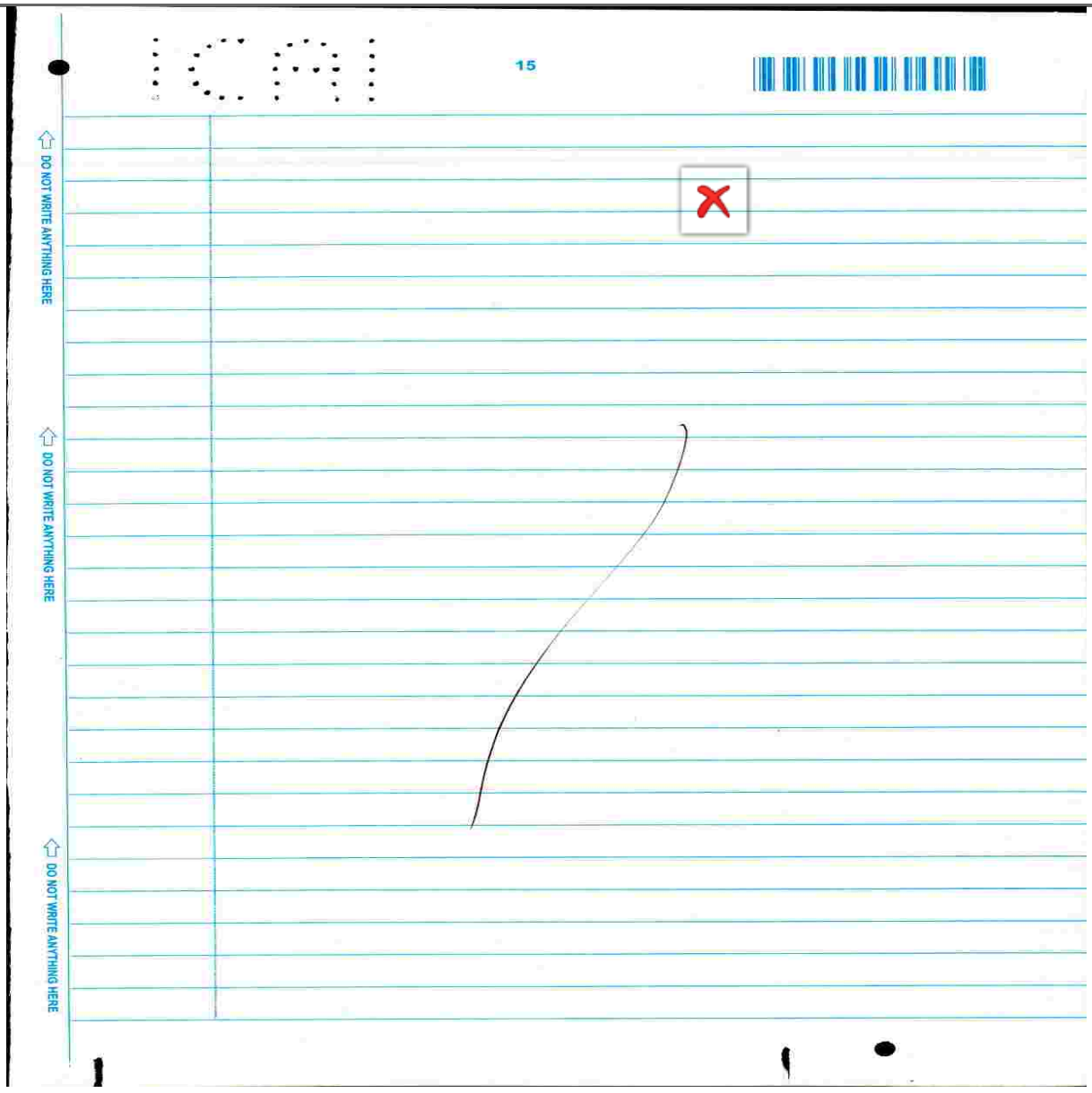
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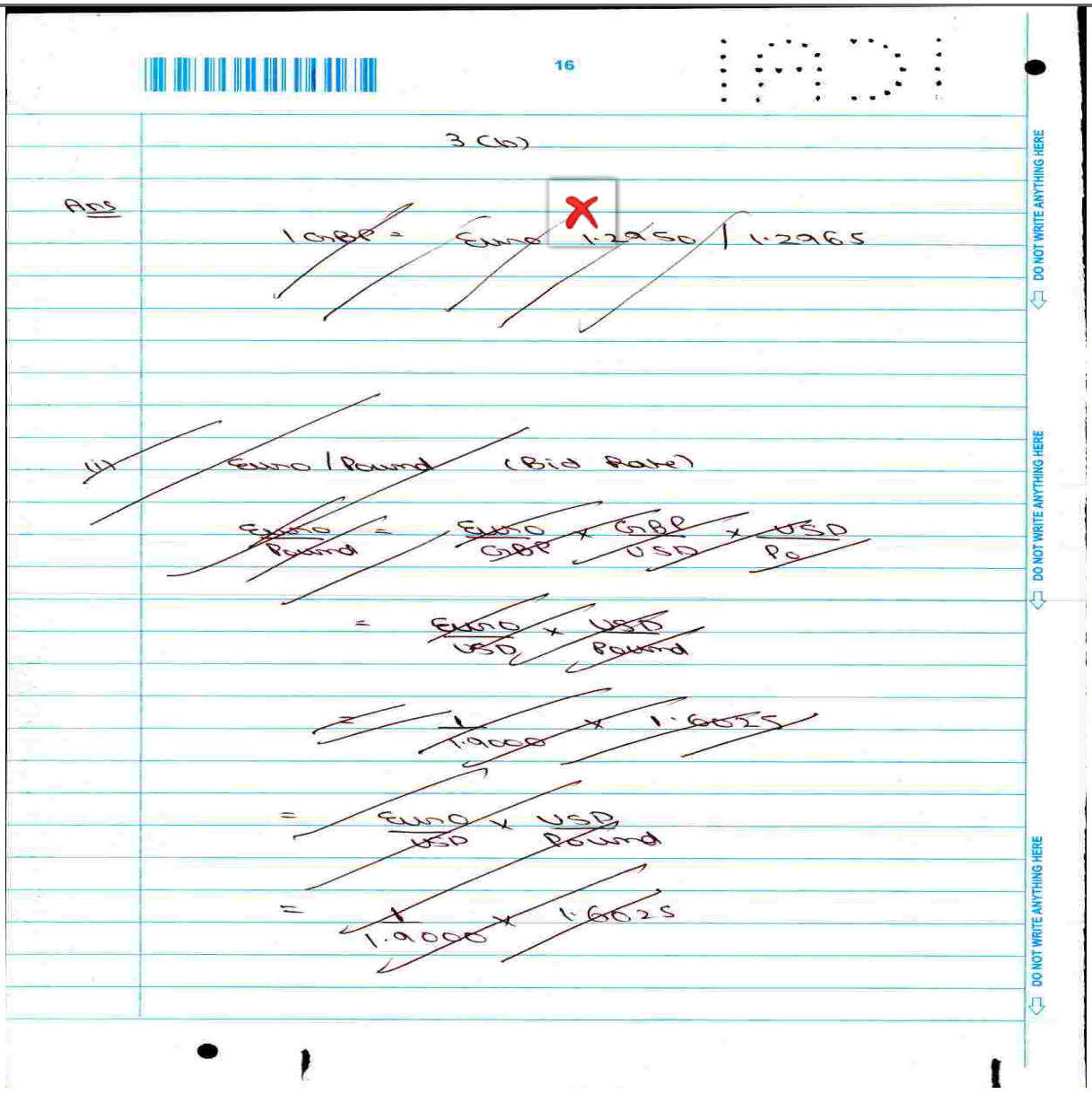

12
3 (a)
Ans (i) Profit/Loss
Future bought = 7750
Future sold = 7780
Profit [(7780 - 0.02%) - 7750]
× 125
= 28.444 × 125
= 3555.5
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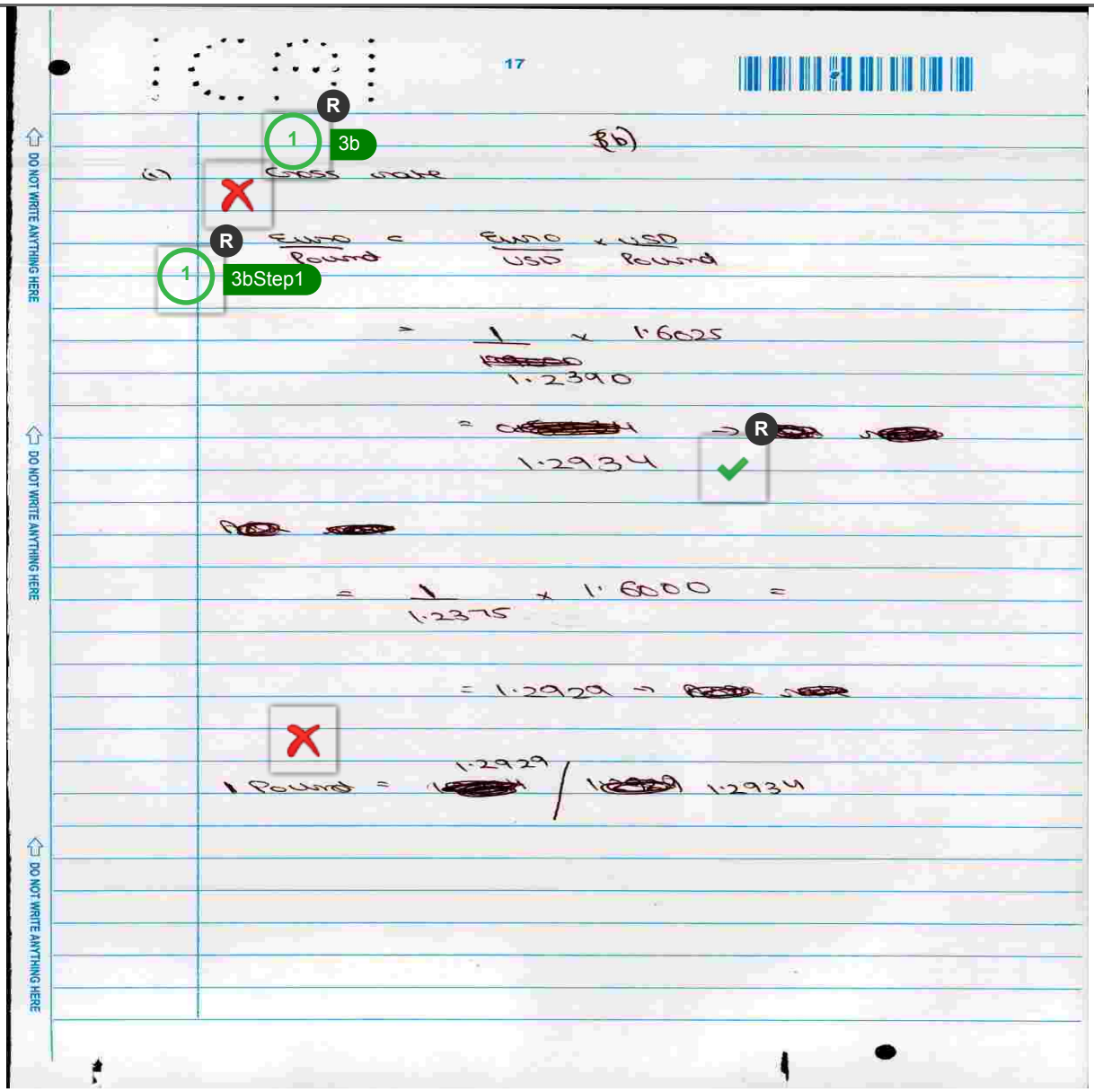

ICAI
13
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(ii)
Ans
Strike price = 7790
Premium = ₹30
Rise in premium = (36 - 30) = ₹6
Therefore, Strike price = 7790 + 6
= 7796
Loss on option =
Transaction cost = (7796 - 30) x 0.02%
= 7766 x 0.02%
= 1.5532
Loss = (7796 - 7790) = ₹6
Total loss =
= (₹1.5532 + 6) x 125
= 944.15
R
0
3aStep1

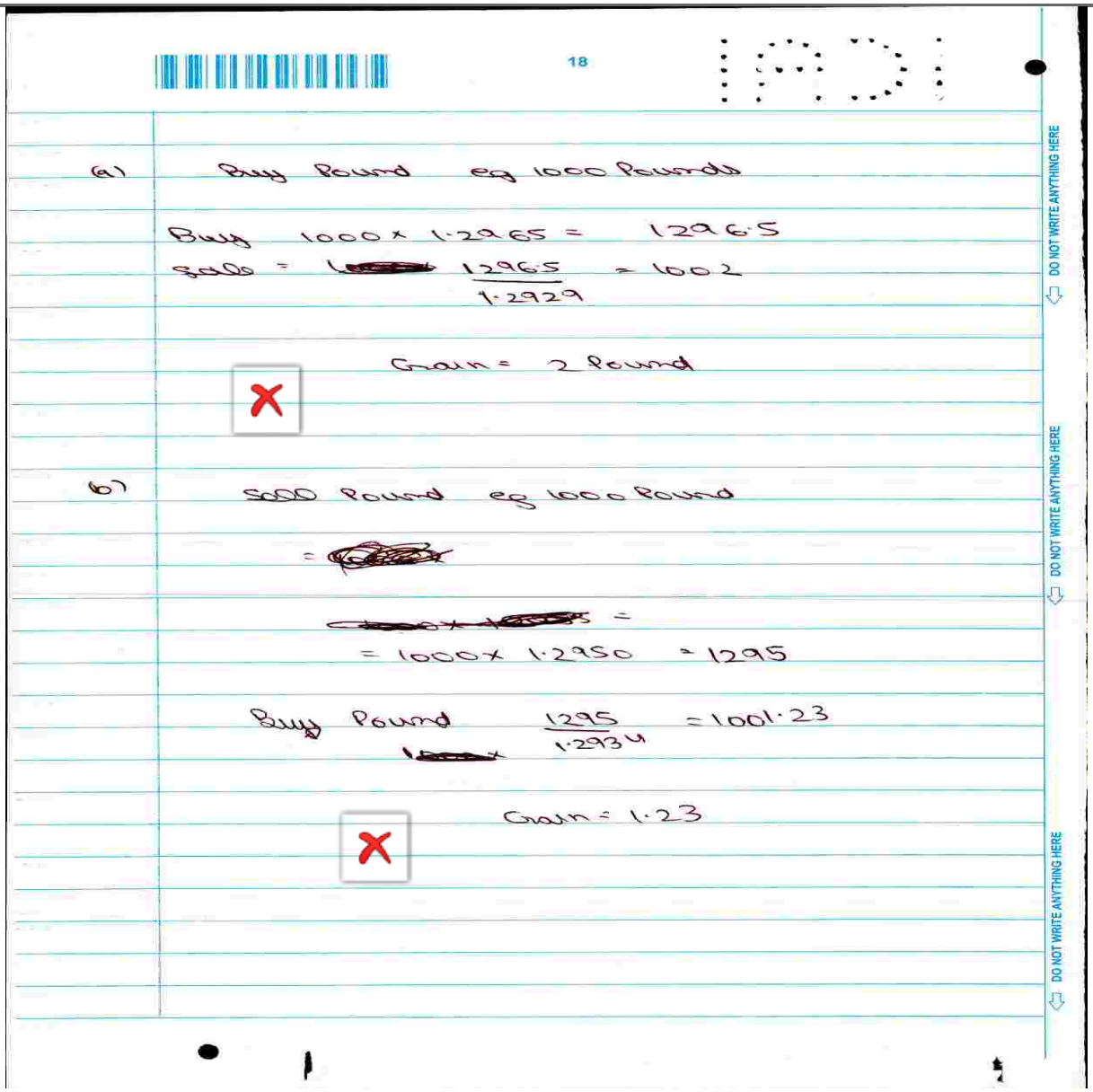

14
R
0
3a
Ans
Overall profit
= 3555.5 - 944.15
= 2611.35
R
0
3aStep2
(ii)
Total transaction cost
(7780 x 0.02 x 1/2) x 125 = 194.5
1.5532 x 125 = 194.15
R
0
3aStep3
Total
388.65
DO NOT WRITE ANYTHING HERE
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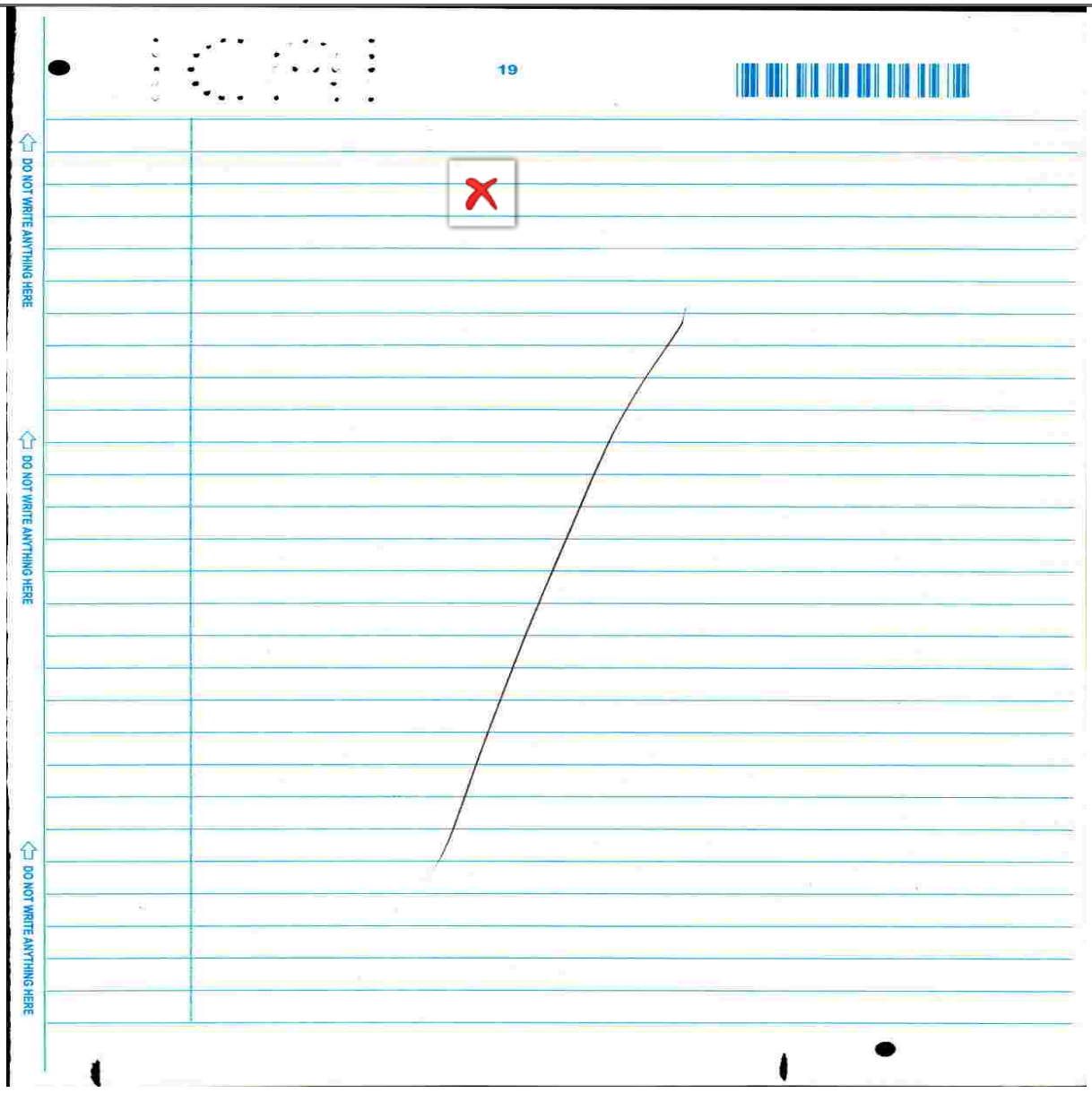


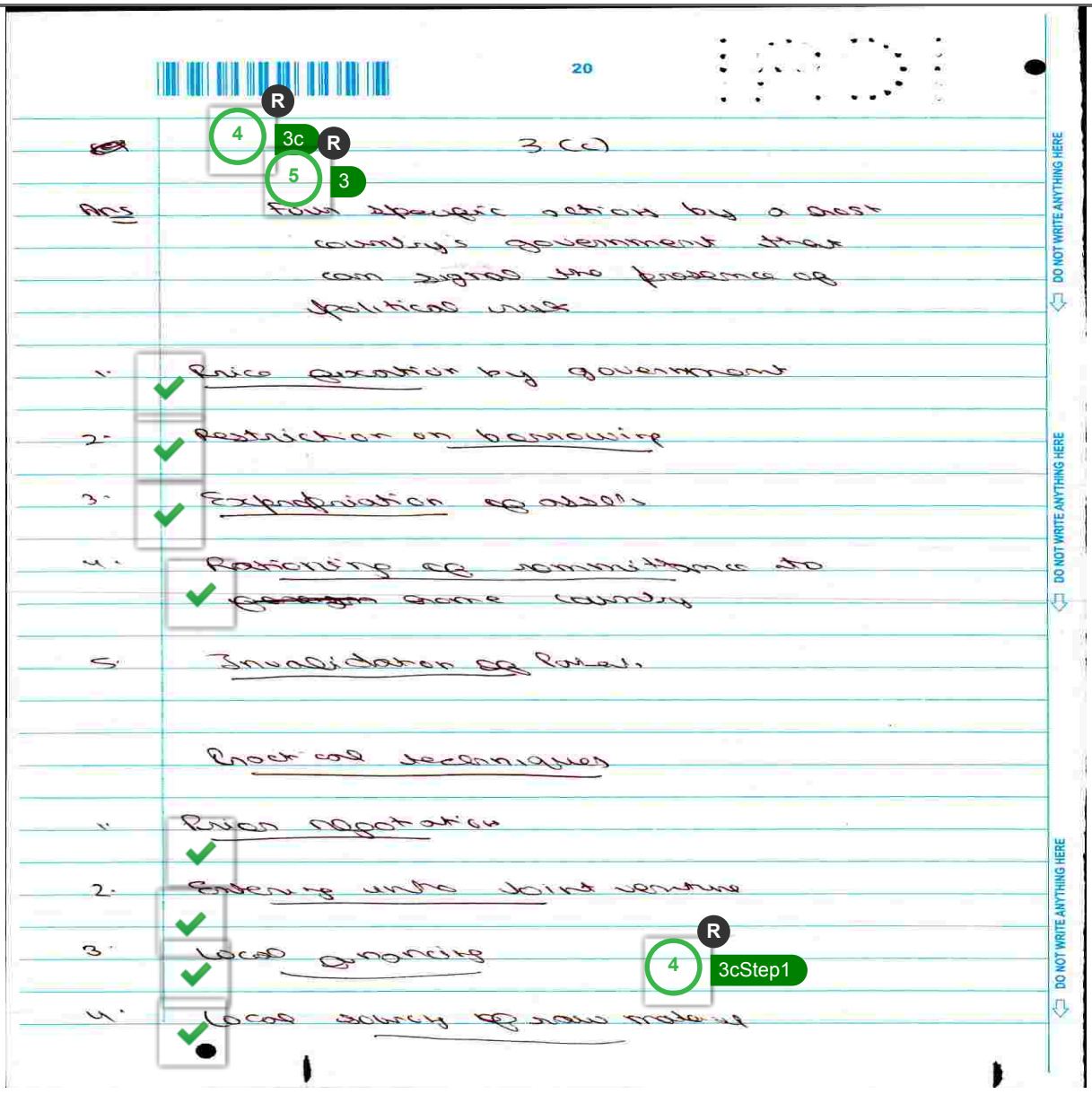

16
3 (b)
Ans
1 GBP = Euro 1.2950 / 1.2965
(i) Euro / Pound (Bid Rate)
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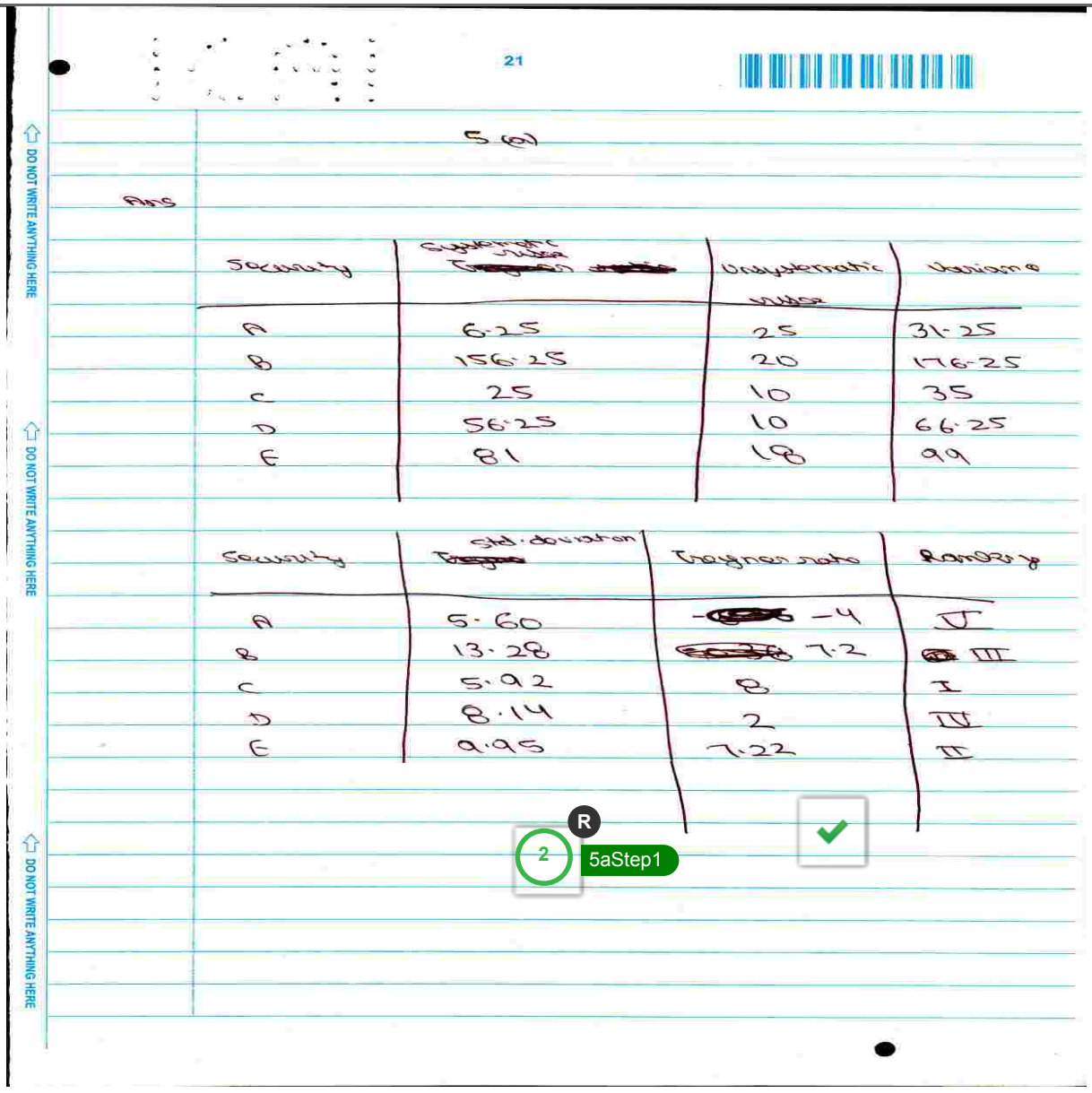

17
R
1
3b
R
1
3bStep1
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1.6025
1.2390
1.2934
R
1.2375
1.6000
1.2929
1.2929
1.2934


18
(a)
Buy Pound eg 1000 Pounds
Buy 1000 x 1.2965 = 1296.5
Sell = 1296.5 / 1.2929 = 1002
Gain = 2 Pound
(b)
5000 Pound eg 1000 Pound
= 1000 x 1.2950 = 1295
Buy Pound 1295 / 1.2934 = 1001.23
Gain = 1.23
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20
R
4
3c
R
5
3
3 (c)
Any four specific action by a host country's government that can signal the presence of political risk
1. Price control by government
2. Restriction on borrowing
3. Expropriation of assets
4. Rationing of commitment to some country
5. Invalidation of laws.
Protection techniques
1. Risk rotation
2. Entering into joint venture
3. Local sourcing
4. Local policy of new material
R
4
3cStep1
DO NOT WRITE ANYTHING HERE
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21

5 (a)

Ans

Security	Systematic risk	Unsystematic risk	Variance
A	6.25	25	31.25
B	156.25	20	176.25
C	25	10	35
D	56.25	10	66.25
E	81	18	99

Security	Std. deviation	Treynor ratio	Ranking
A	5.60	-4	V
B	13.28	7.2	III
C	5.92	8	I
D	8.14	2	IV
E	9.95	7.22	II

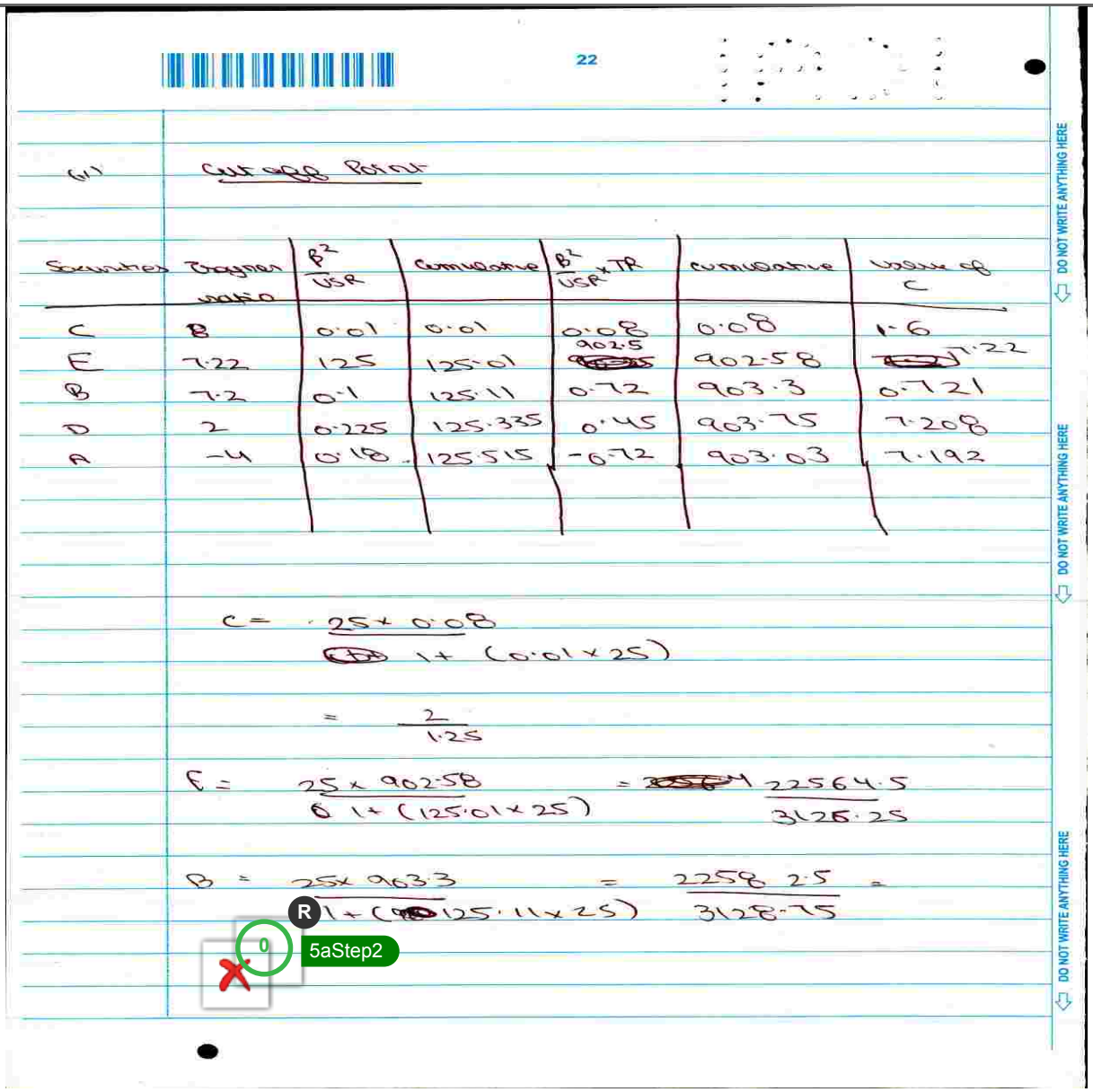
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R

2 5aStep1



22

(i) Cut-off Point

Securities	Expense ratio	$\frac{R^2}{V_{SR}}$	Cumulative	$\frac{R^2}{V_{SR}} \times TR$	Cumulative	Value of C
C	8	0.01	0.01	0.08	0.08	1.6
E	7.22	125	125.01	902.5	902.58	1.22
B	7.2	0.1	125.11	0.72	903.3	0.721
D	2	0.225	125.335	0.45	903.75	7.208
A	-4	0.180	125.515	-0.72	903.03	7.192

$$C = \frac{.25 \times 0.08}{1 + (0.01 \times 25)}$$

$$= \frac{2}{1.25}$$

$$E = \frac{25 \times 902.58}{1 + (125.01 \times 25)} = \frac{22564.5}{3126.25}$$

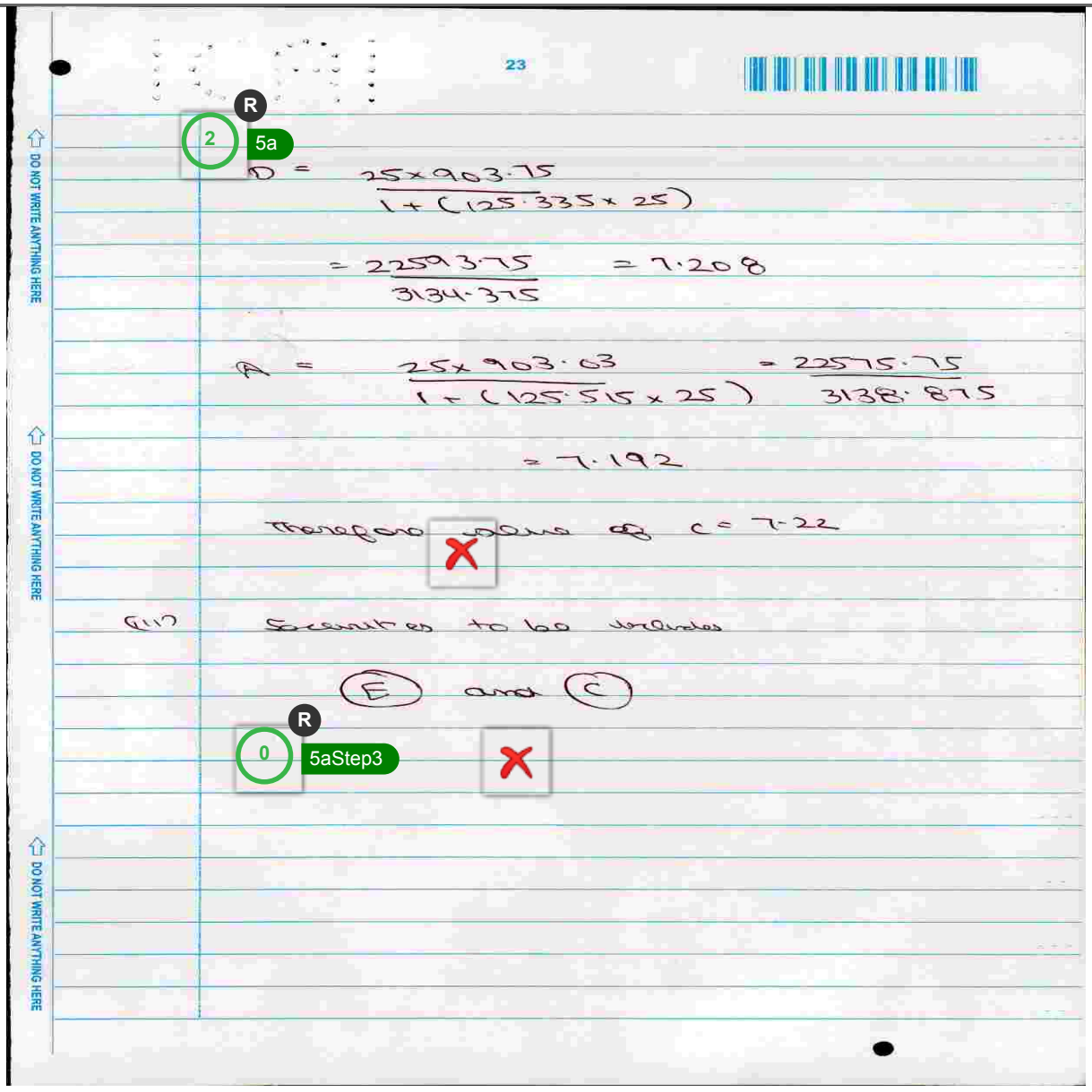
$$B = \frac{25 \times 9033}{1 + (125.11 \times 25)} = \frac{2258\ 2.5}{3128.75} =$$

R 0 5aStep2

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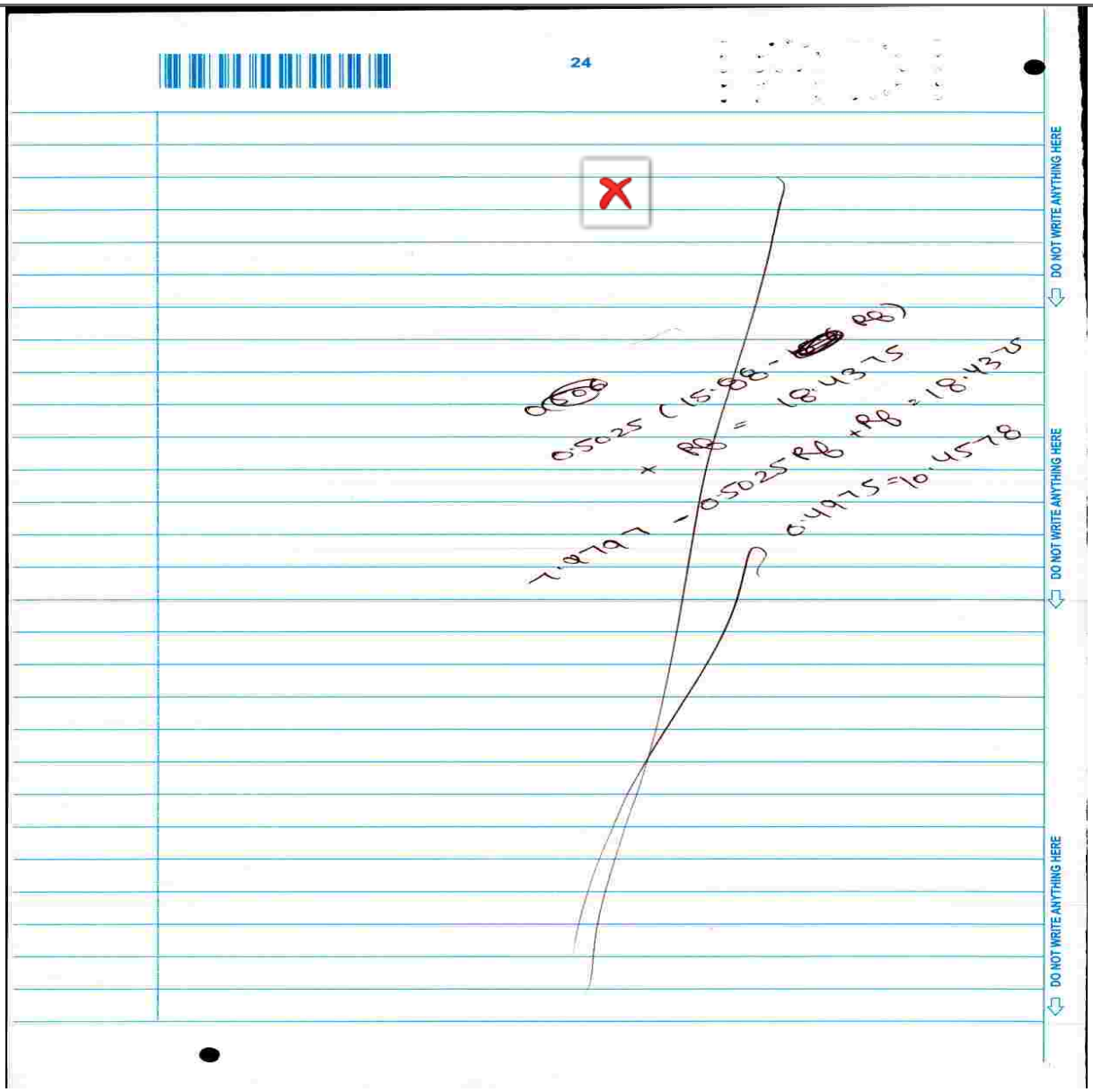
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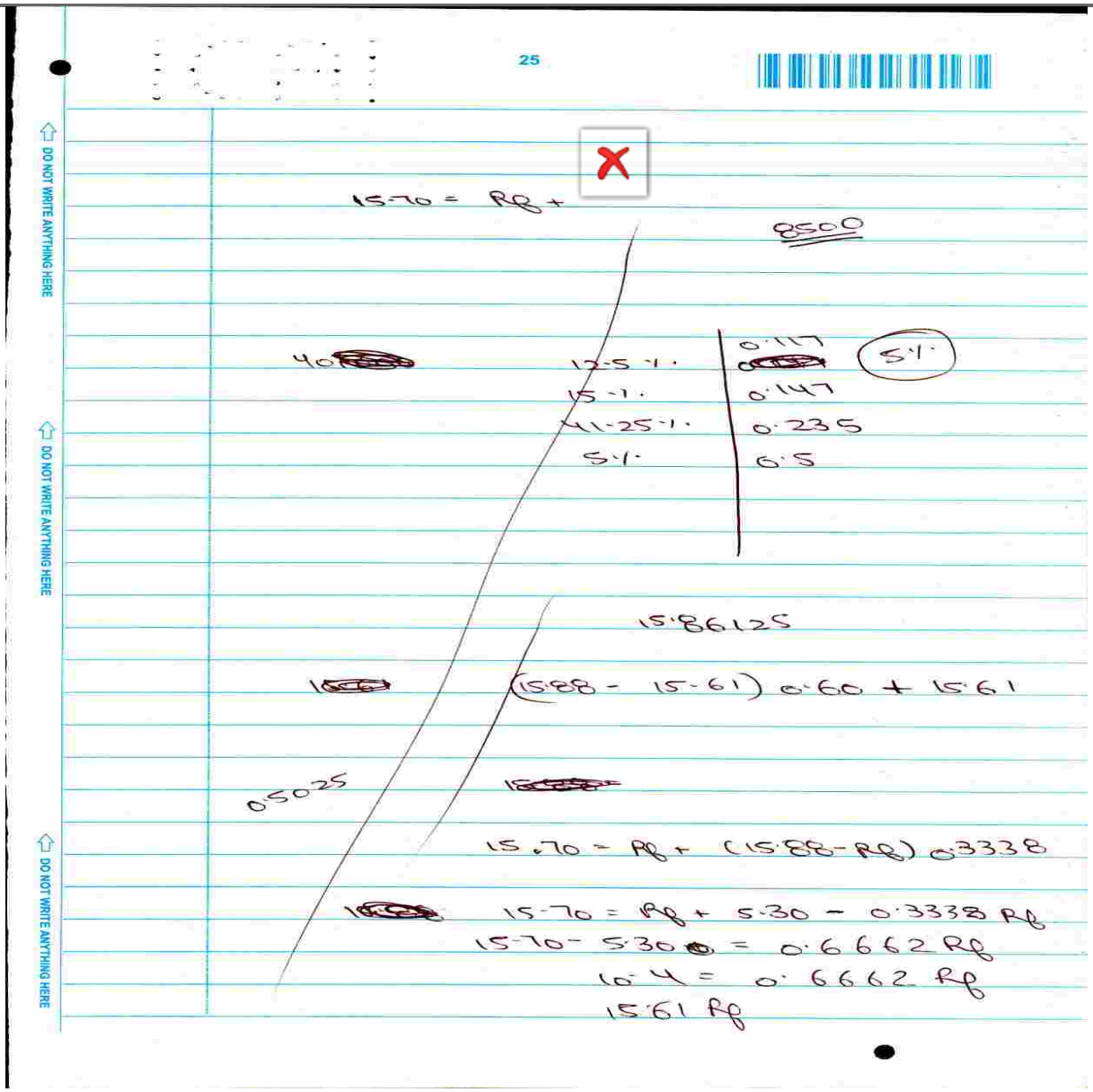
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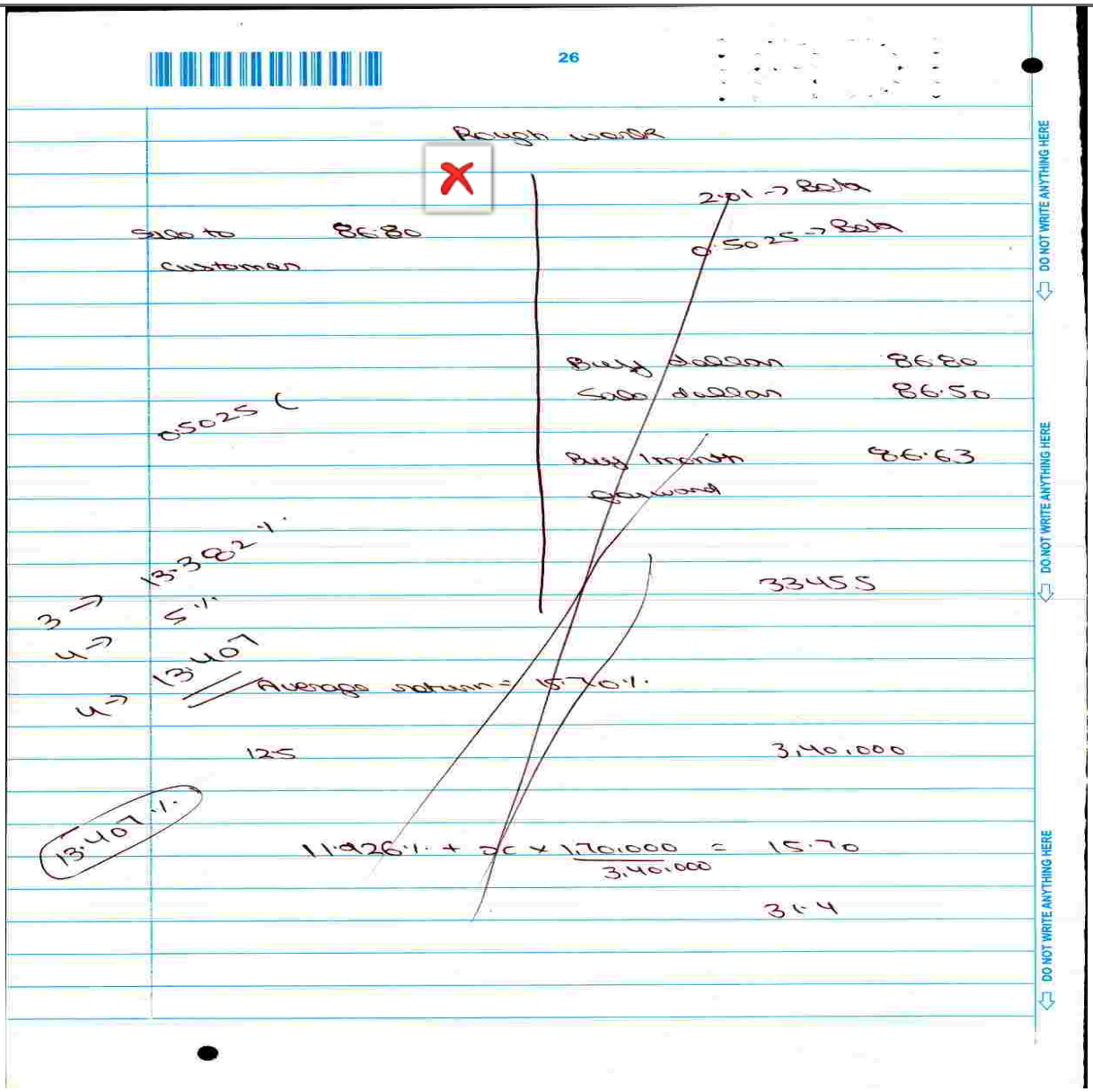

23
R
2
5a
D = 25 x 903.75 / 1 + (125.335 x 25)
= 22593.75 / 3134.375 = 7.208
A = 25 x 903.63 / 1 + (125.515 x 25) = 22575.75 / 3138.875
= 7.192
C = 7.22
R
0
5aStep3
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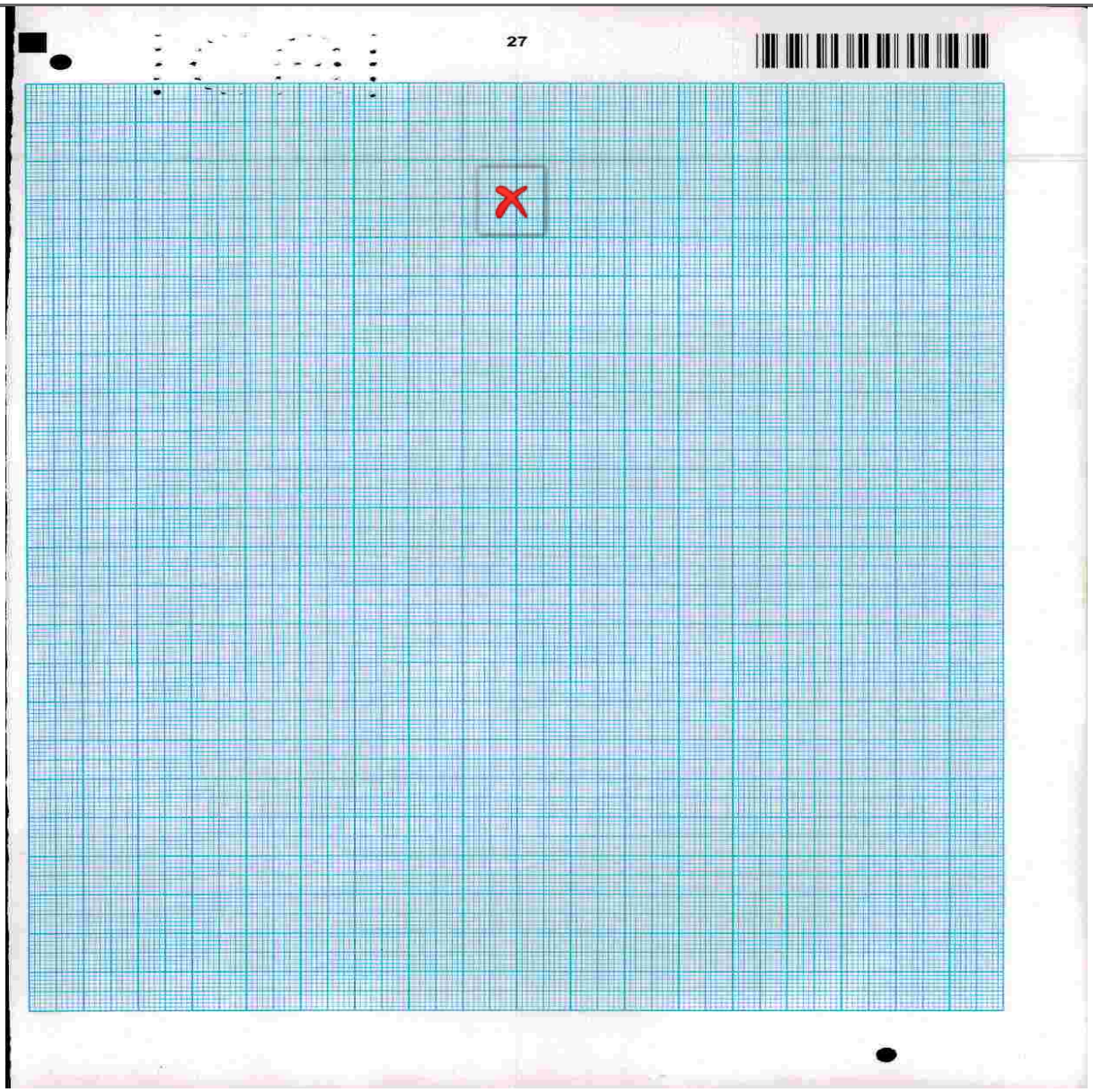
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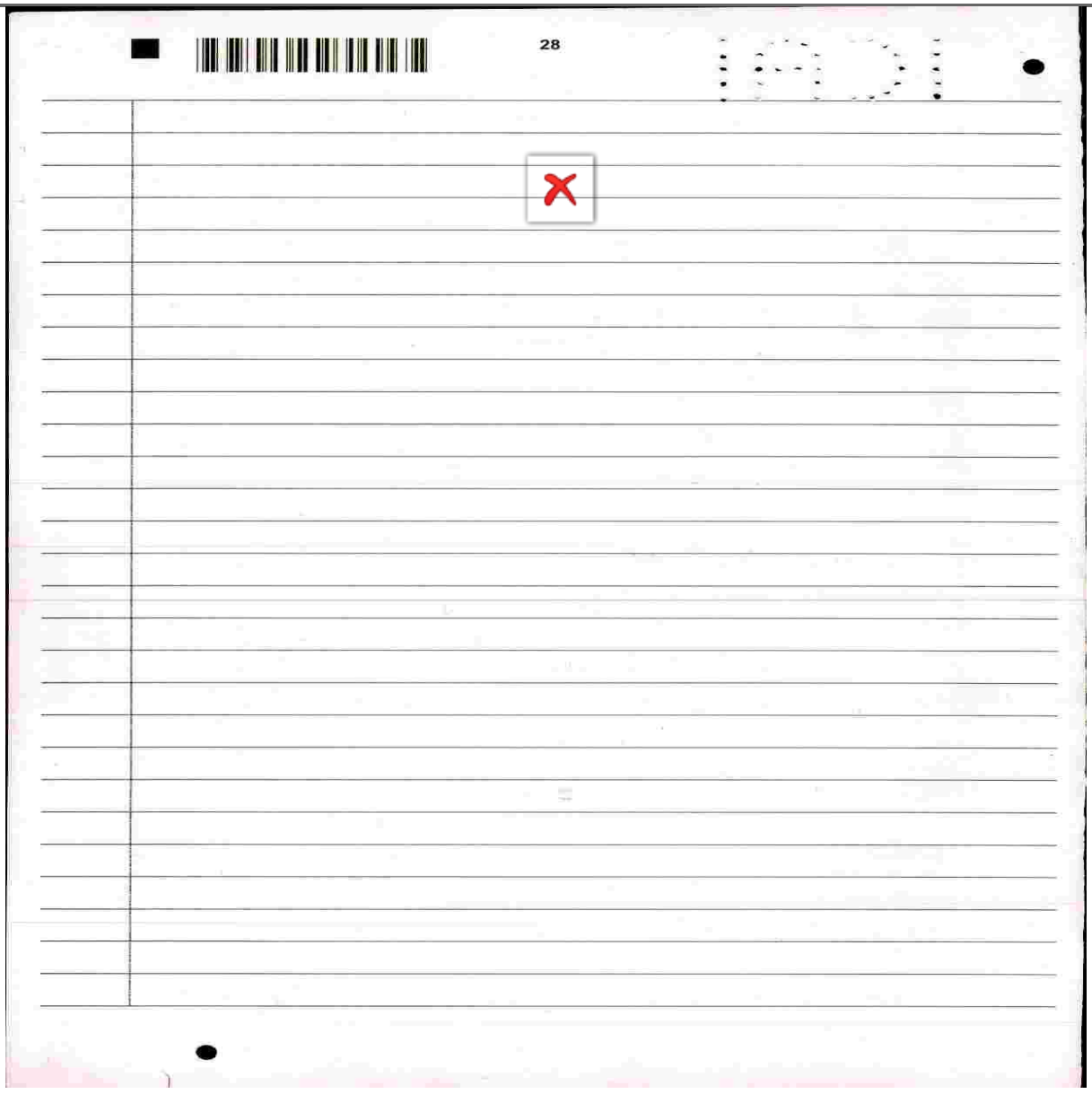

25
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15.70 = Rf +
8500
40
12.5 %
15 %
41.25 %
5 %
0.117
0.147
0.235
6.5
5%
15.86125
(15.88 - 15.61) 0.60 + 15.61
0.5025
15.70 = Rf + (15.88-Rf) 0.3338
15.70 = Rf + 5.30 - 0.3338 Rf
15.70 - 5.30 = 0.6662 Rf
10.4 = 0.6662 Rf
15.61 Rf

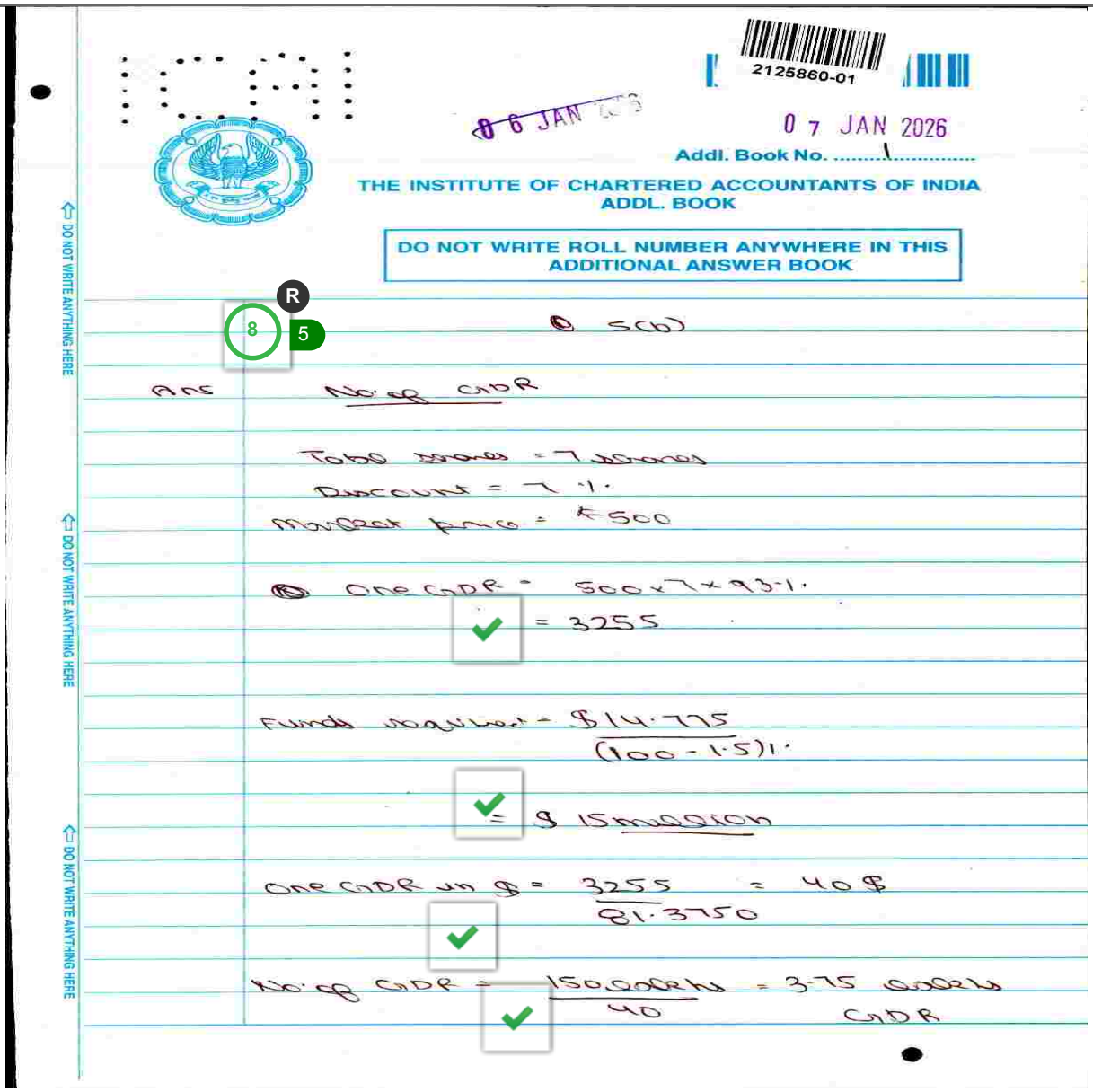

26
Rough work
Sale to Customer
86.80
2.01 → Buy
0.5025 → Buy
Buy 3 years 86.80
Sale 3 years 86.50
Buy 1 month forward 86.63
0.5025
3 → 13.382 1.
5 1.
4 → 13.407
4 → 13.407
Average return = 15.70 1.
125
3,40,000
33455
13.407 1.
11.926 1. + 2C × 1,70,000 / 3,40,000 = 15.70
31.4
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Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**44**



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06 JAN 2026

07 JAN 2026

Addl. Book No. ..... 1 .....

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

DO NOT WRITE ROLL NUMBER ANYWHERE IN THIS ADDITIONAL ANSWER BOOK

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R

8 5

(b) 5(b)

Ans No. of GDR

Total shares = 7 shares

Discount = 7 %

Market price = ₹500

(a) One GDR = 500 × 7 × 93·1%

= 3255

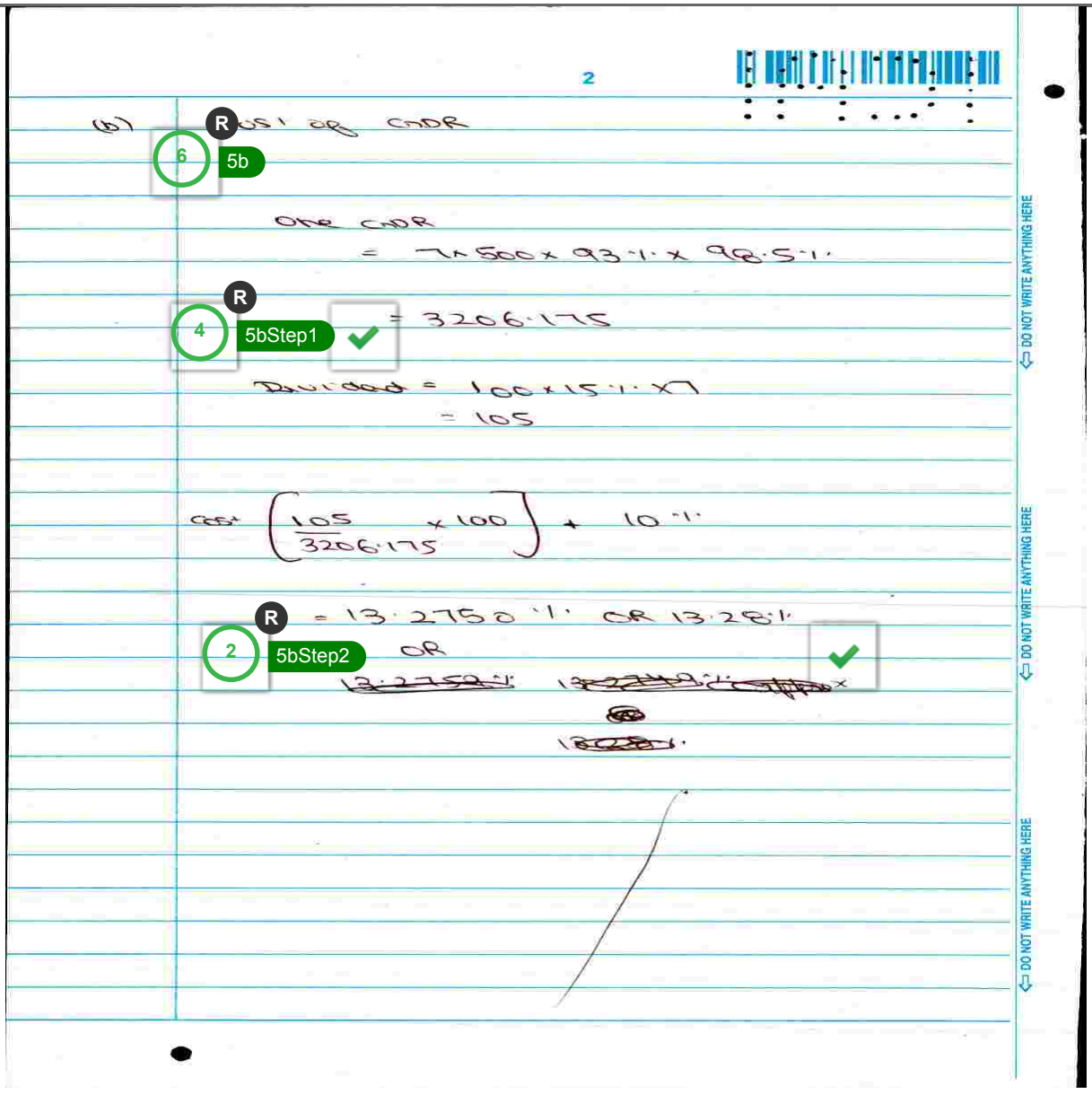
Funds required = $14·775 / (100 − 1·5)%

= $ 15 million

One GDR in $ = 3255 / 81·3750 = 40 $

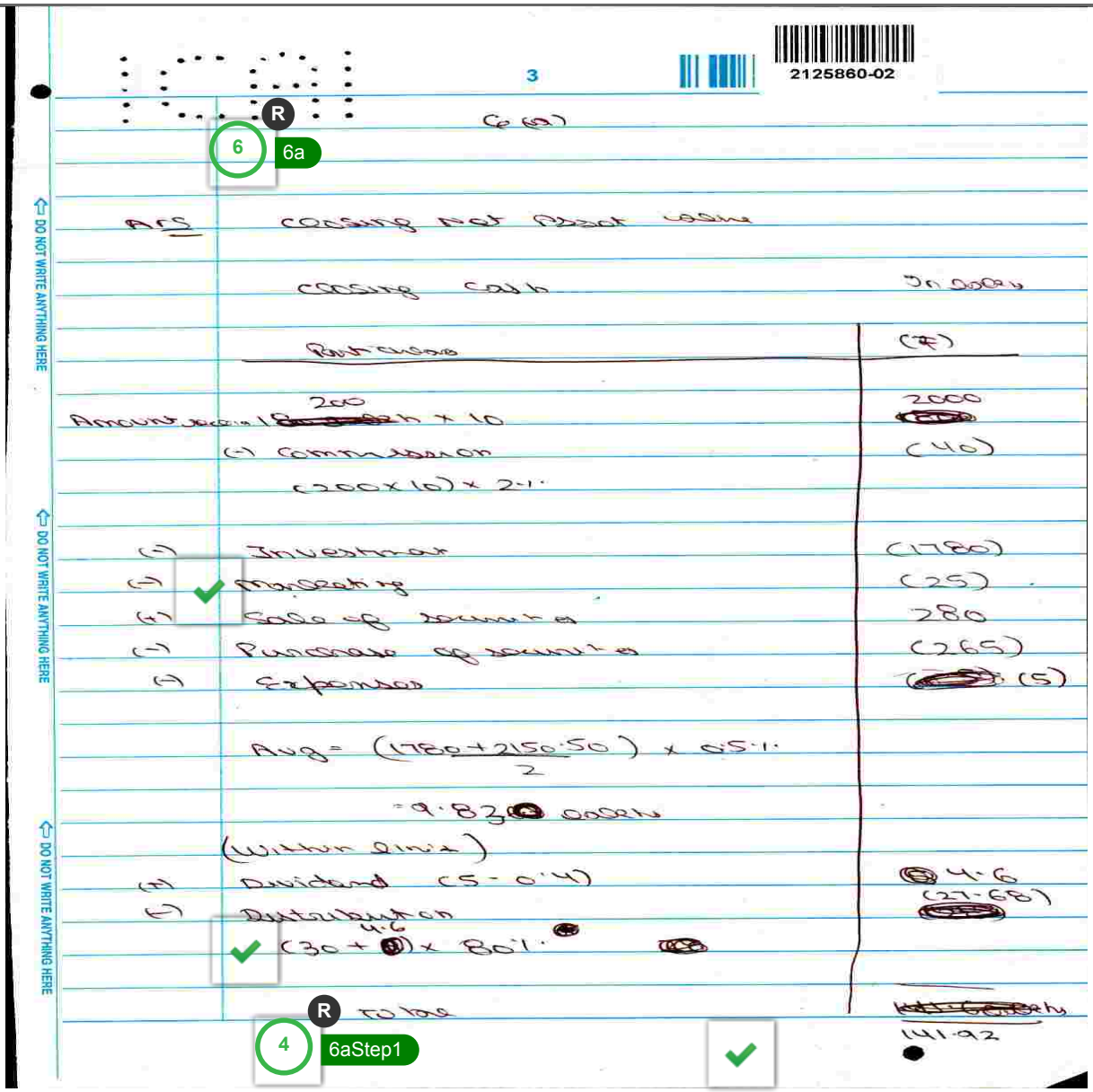
No. of GDR = 150,000 shs / 40 = 3·75 lakhs GDR

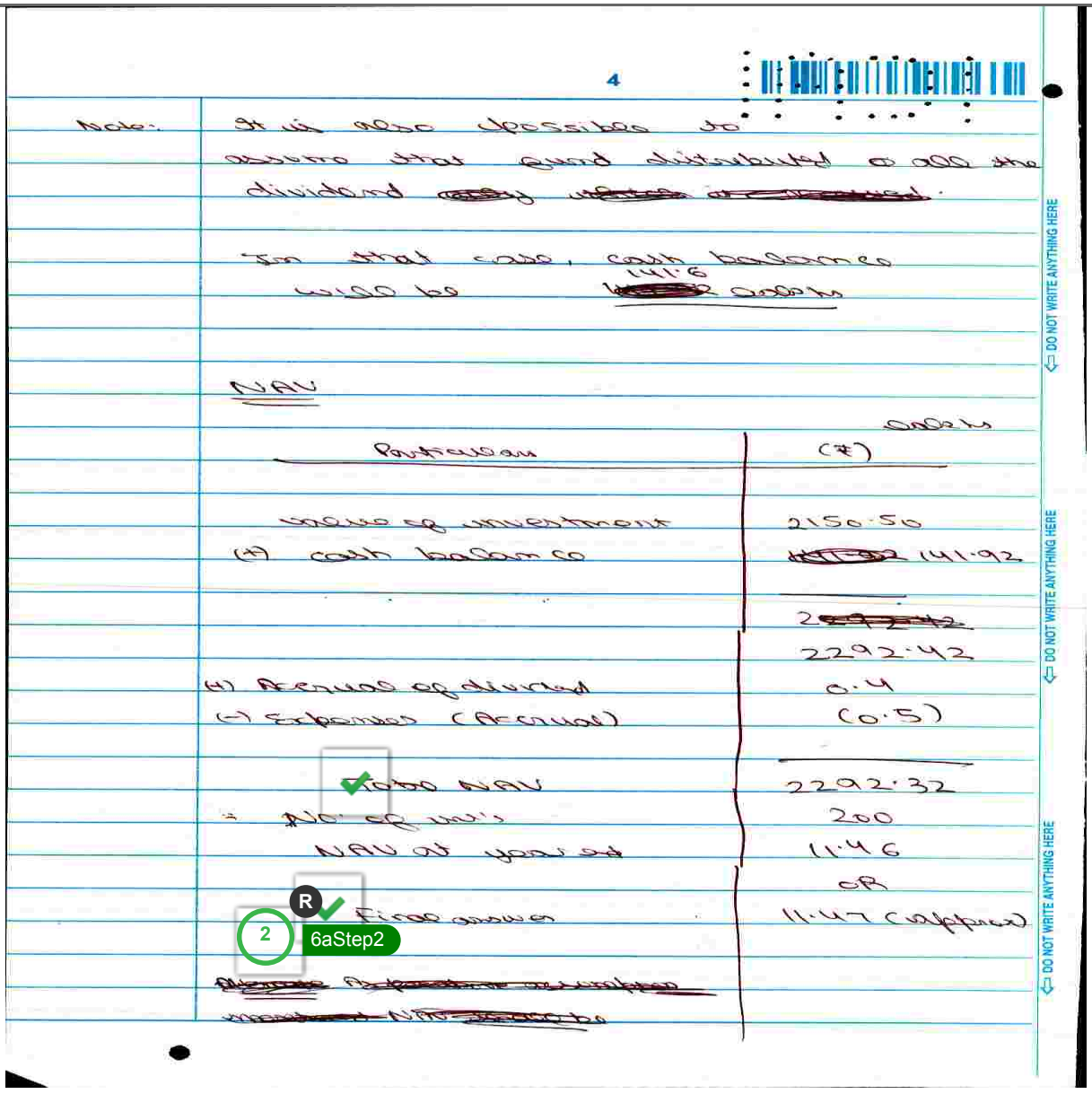
Page 29

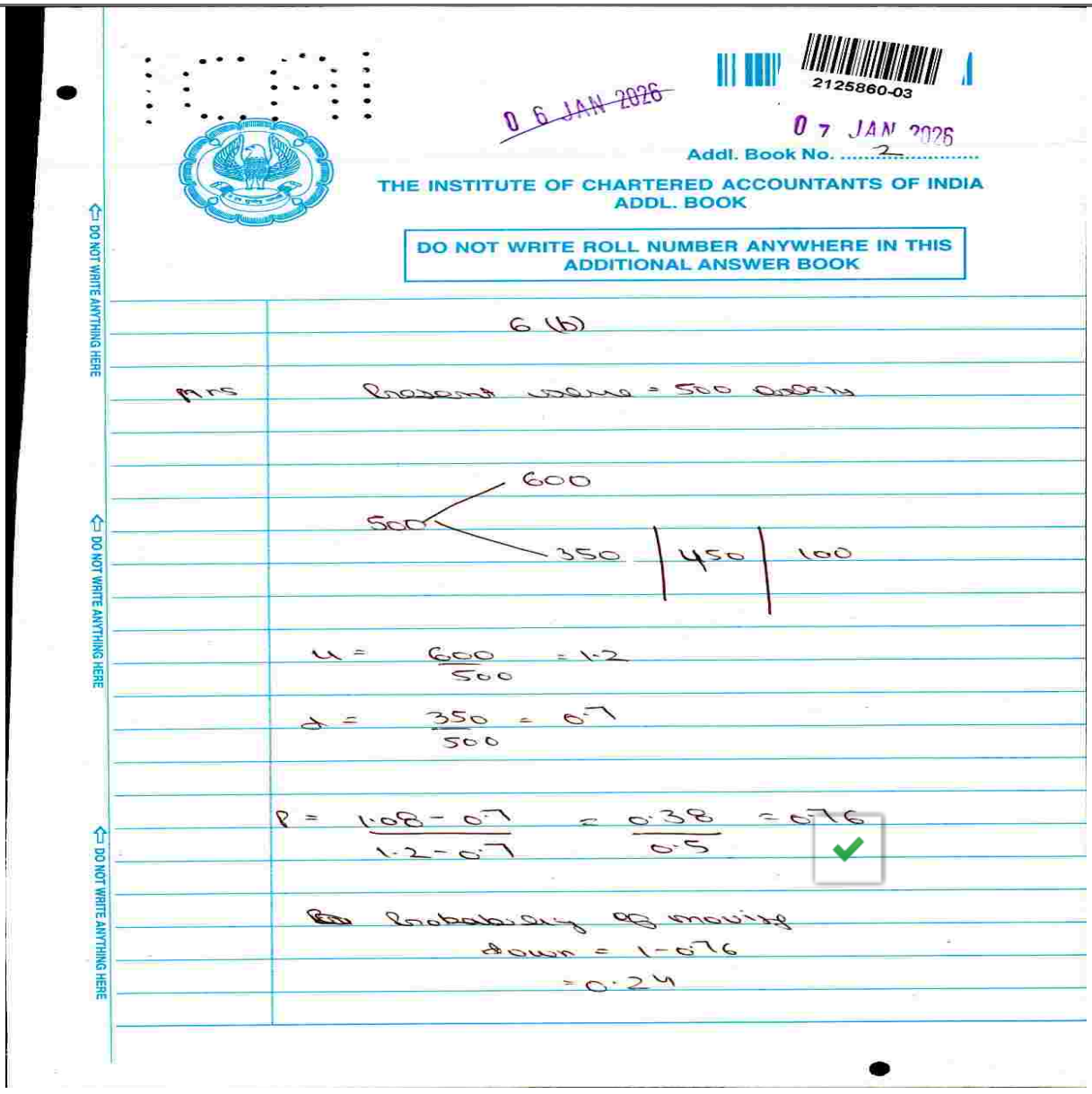

2
(b)
R
6
5b
CMDR
= 7×500×93·1·×98·5·1·
R
4
5bStep1
= 3206·175
= 105
R
2
5bStep2
OR
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Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**44**




4
Note:
NAV
Particulars
(₹)
Value of investment
2150.50
(+) cash balances
141.92
2292.42
(+) Accrual of dividend
0.4
(-) Expenses (Accrual)
(0.5)
Total NAV
2292.32
No. of units
200
NAV as per
11.46
OR
11.47 (alternate)
R
2
6aStep2
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06 JAN 2026
2125860-03
07 JAN 2026
Addl. Book No. 2

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

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6 (b)

Ans Present value = 500 Rs/Qty

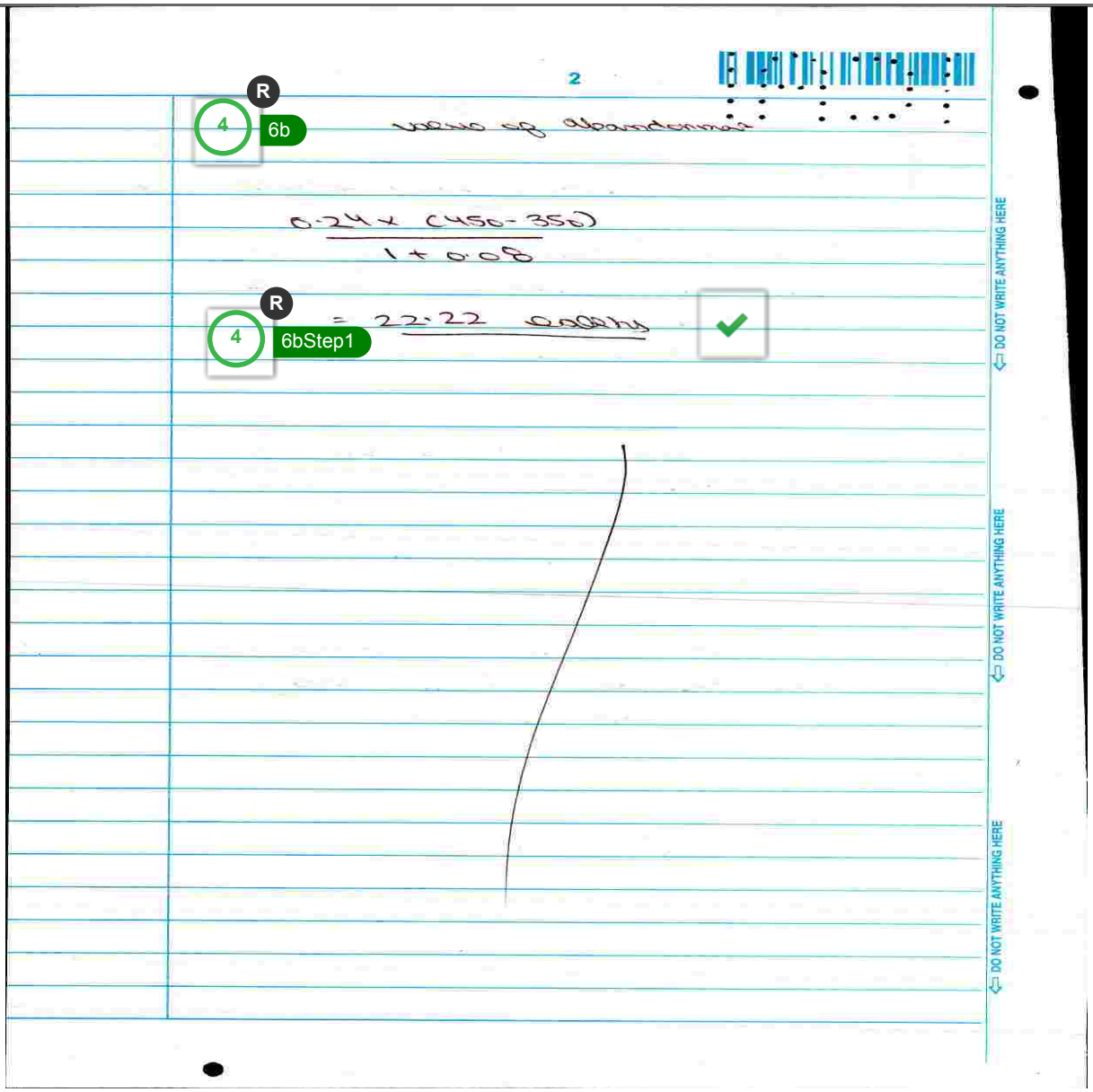
600
500
350 | 450 | 100

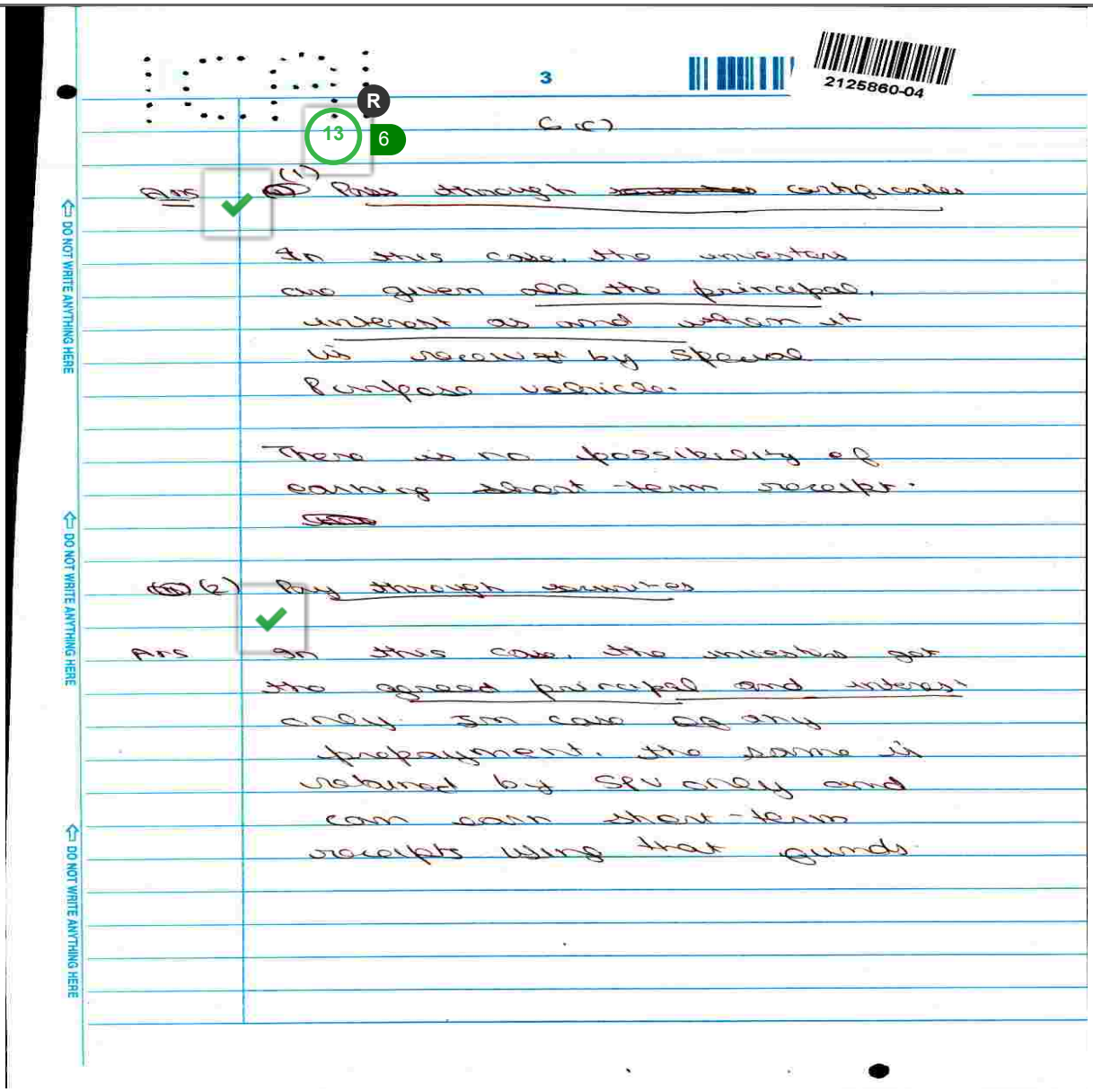
$u = \frac{600}{500} = 1.2$

$d = \frac{350}{500} = 0.7$

$P = \frac{1.08 - 0.7}{1.2 - 0.7} = \frac{0.38}{0.5} = 0.76$

(b) Probability of moving down = 1 - 0.76
= 0.24


2
R
4
6b
value of abandonment
0.24 x (450 - 350)
1 + 0.08
R
4
6bStep1
= 22.22 crores
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3

2125860-04

R

13 6

(c)

Ans (1) Pass through certificates

In this case, the investors are given all the principal, interest as and when it is received by special purpose vehicle.

There is no possibility of earning short-term receipts.

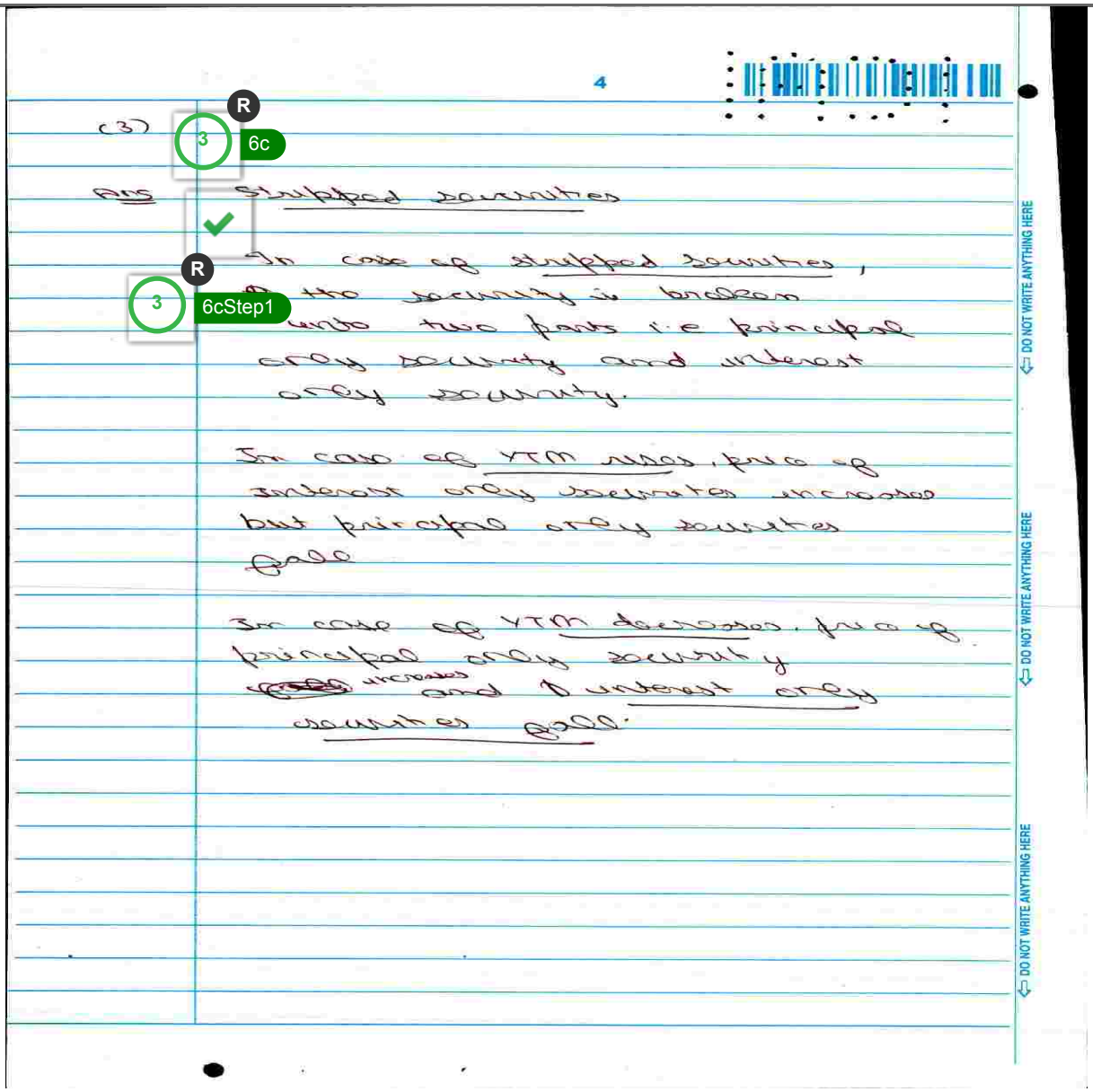
(2) Pay through annuities

Ans In this case, the investor get the agreed principal and interest only. In case of any prepayment, the same is retained by SPV only and can earn short-term receipts using that funds.

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4

(3)

Ans Stripped securities

In case of stripped securities, the security is broken into two parts i.e principal only security and interest only security.

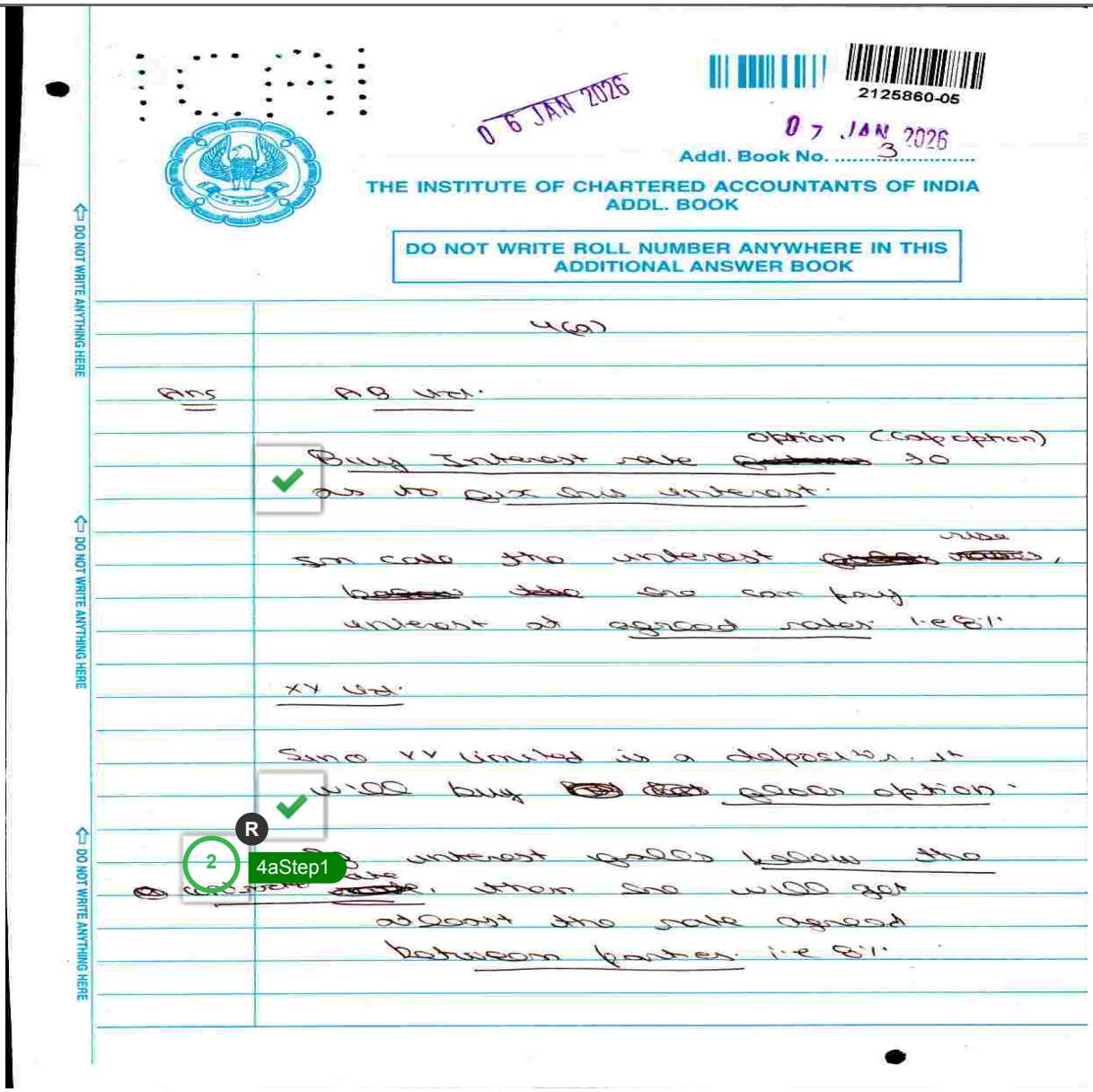
In case of YTM rises, price of interest only securities increases but principal only securities fall

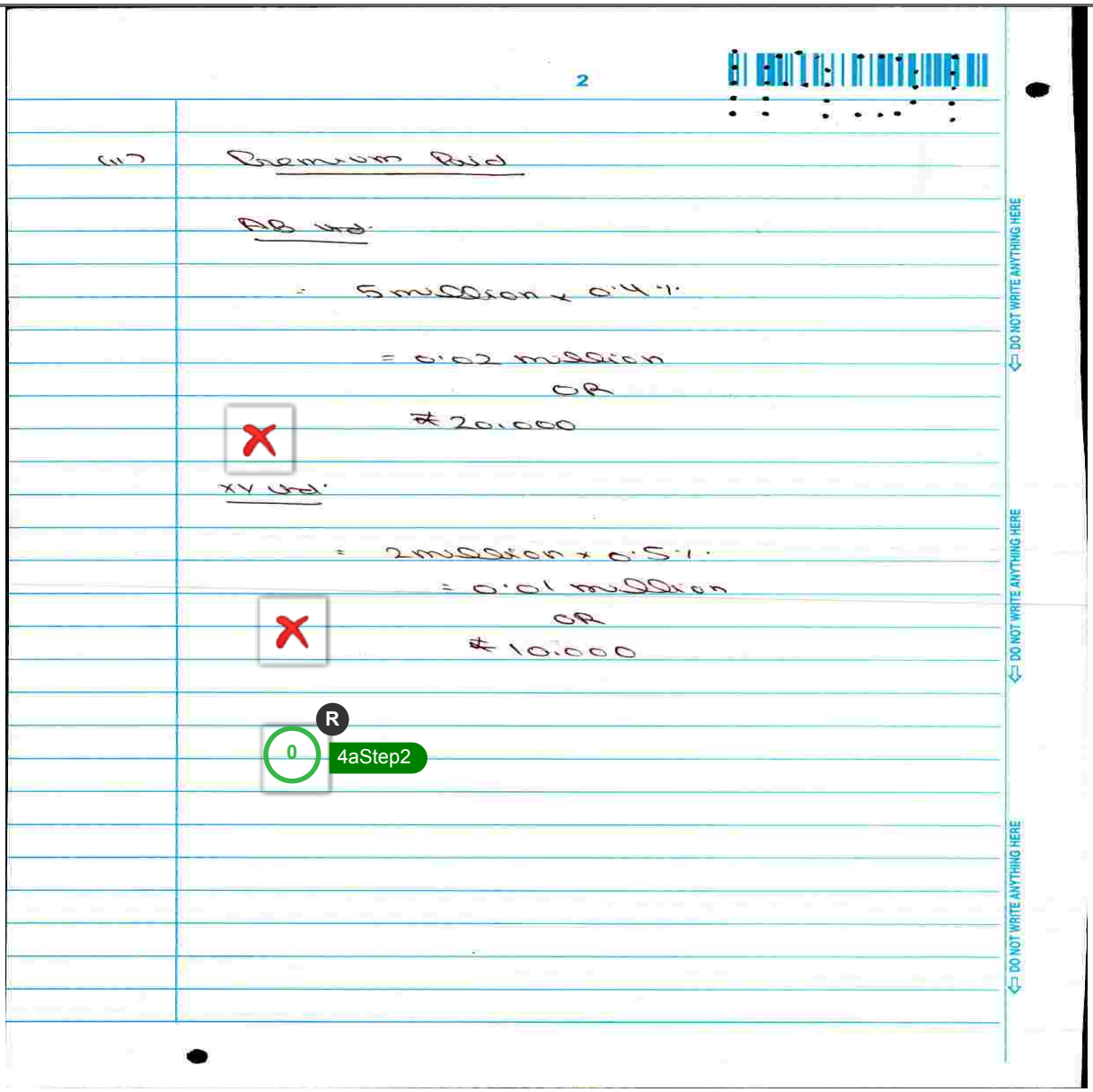
In case of YTM decreases, price of principal only security increases and interest only securities fall.

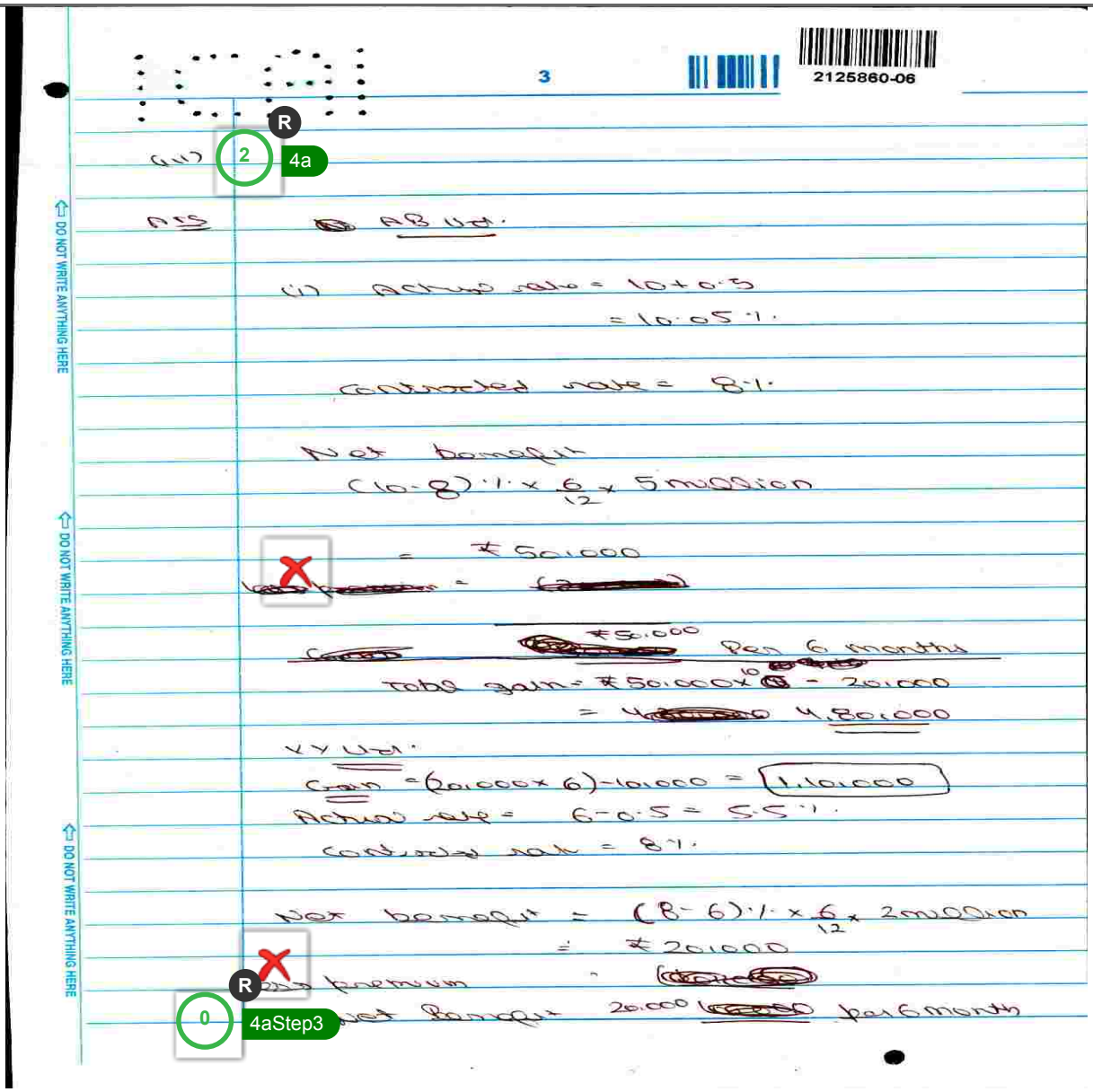
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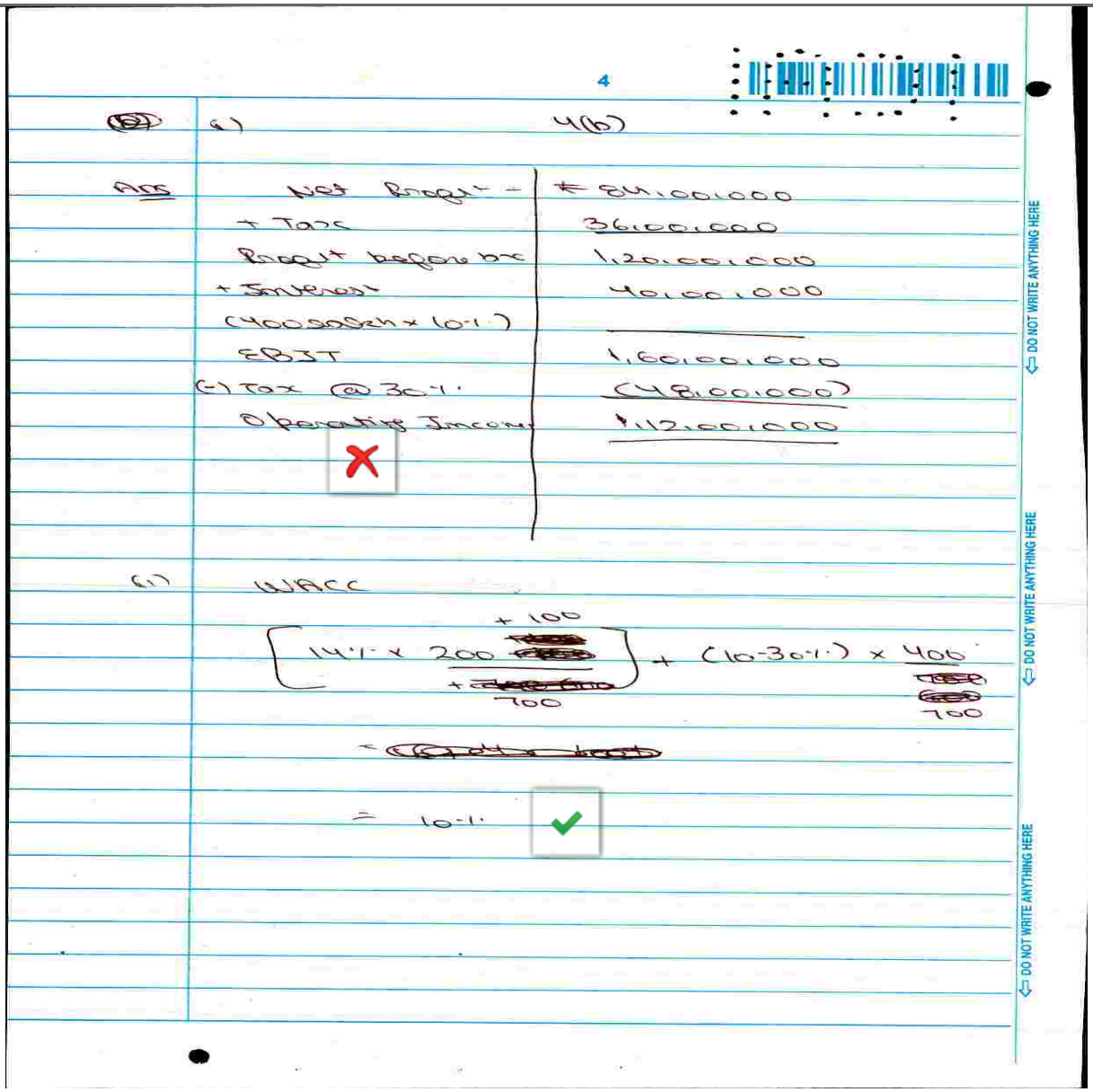
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Addl. Book No. 3
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ADDL. BOOK
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4(a)
Ans
AB Ltd.
Option (Co-option)
XY Ltd.
R
2
4aStep1

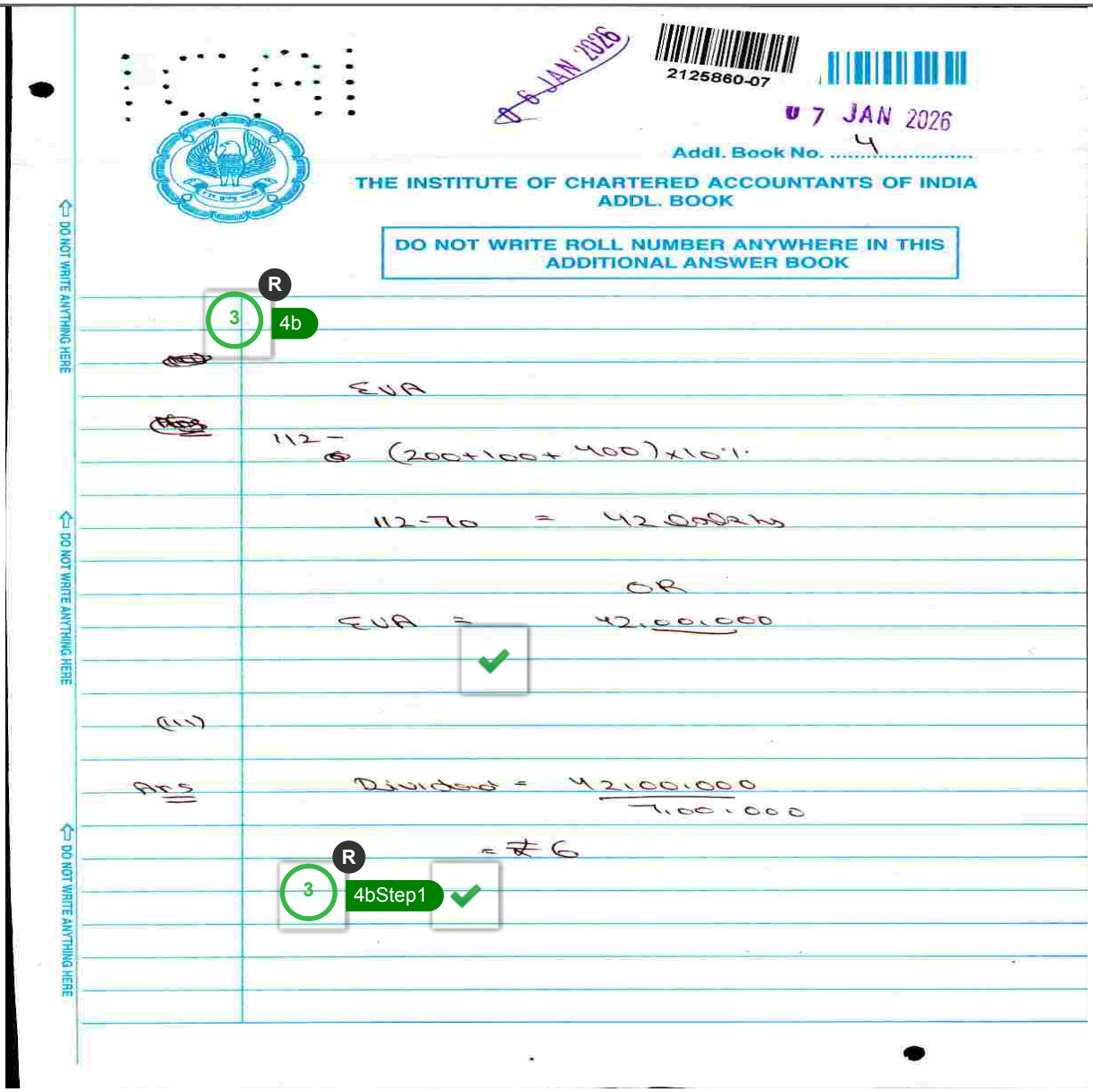

2
(ii) Premium Paid
AB Ltd.
= 5million x 0.4%
= 0.02 million
OR
₹ 20,000
XY Ltd.
= 2million x 0.5%
= 0.01 million
OR
₹ 10,000
R
0
4aStep2
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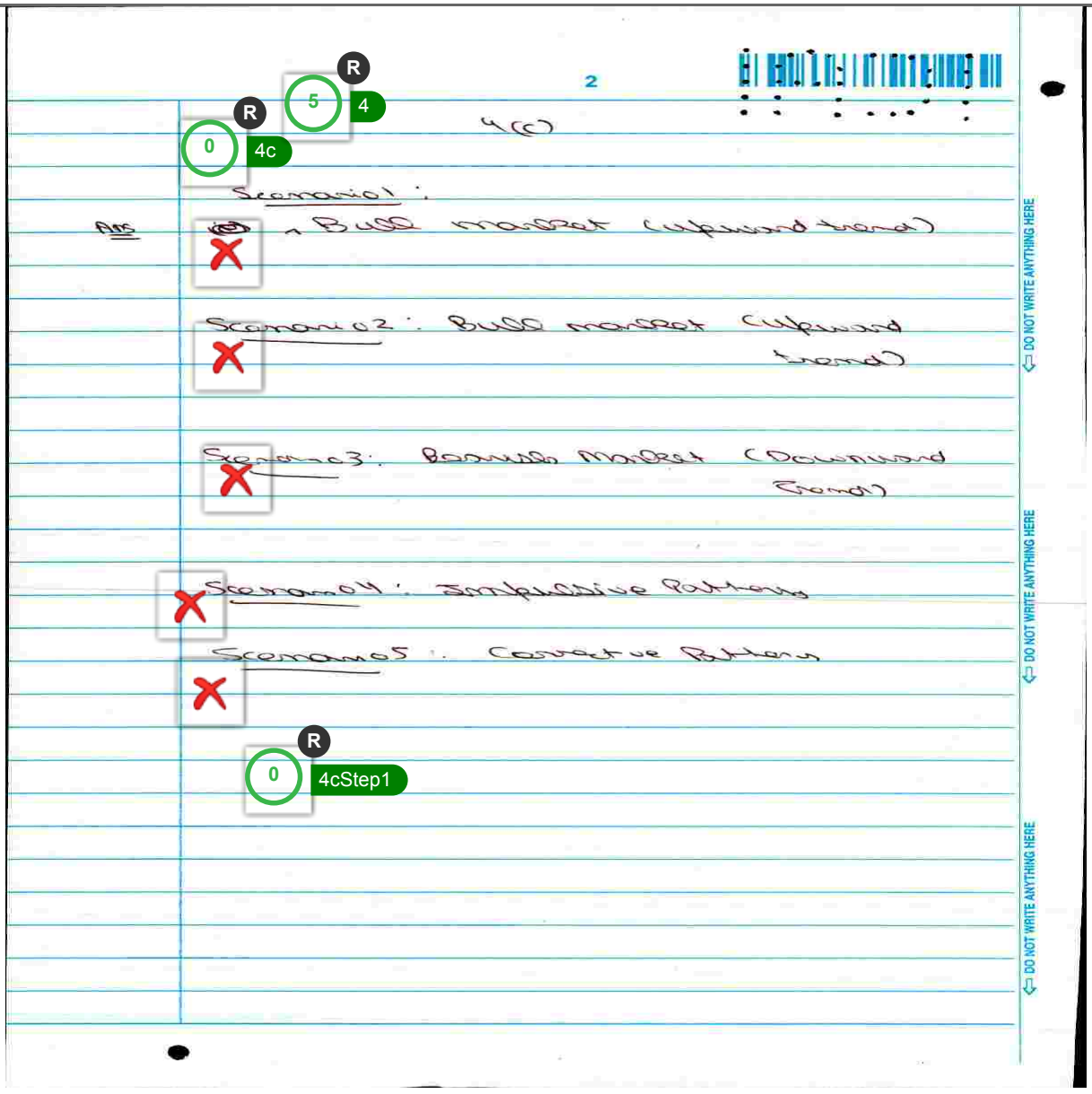

3
2125860-06
R
2
4a
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AB Ltd.
Actual rate = 10 + 0.5
= 10.05 %
Converted rate = 8 %
Net benefit
(10.8) % × 6/12 × 5 million
= ₹ 50,000
₹ 50,000 Per 6 months
Total gain = ₹ 50,000 × 10 - 20,000
= 4,80,000
XY Ltd.
Gain = (20,000 × 6) - 10,000 = 1,10,000
Actual rate = 6 - 0.5 = 5.5 %
Converted rate = 8 %
Net benefit = (8 - 6) % × 6/12 × 20 million
= ₹ 20,000
premium
Net benefit = 20,000 per 6 months
R
0
4aStep3


4
4(b)
Net Profit = ₹ 64,00,000
+ Tax 36,00,000
Profit before tax 1,20,00,000
+ Interest 40,00,000
(400 Lakh × 10%)
EBIT 1,60,00,000
(-) Tax @ 30% (48,00,000)
Operating Income 1,12,00,000
WACC
14% × 300/700 + (10-30%) × 400/700
= 10%
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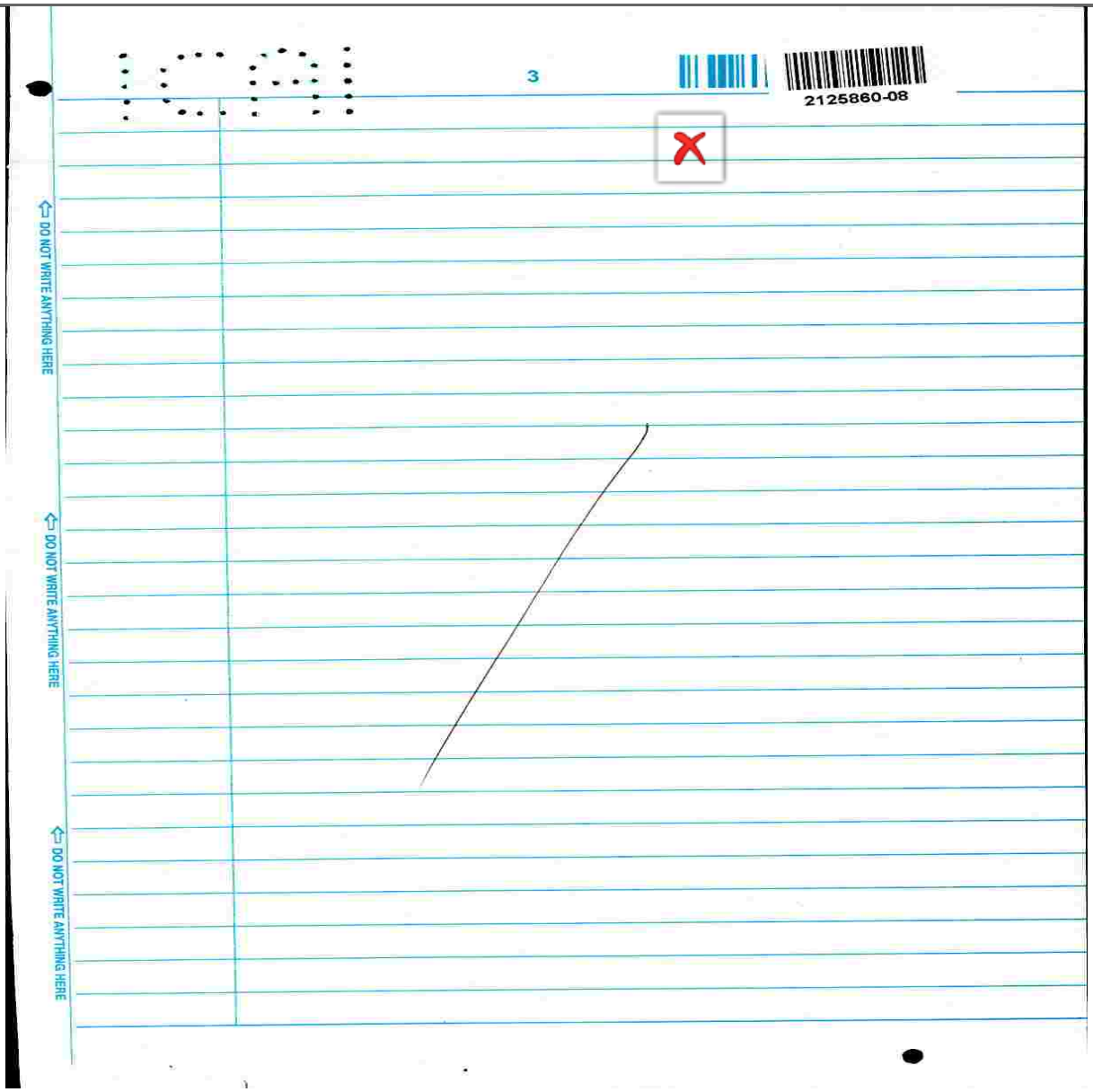
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R
5
4
R
0
4c
2
4(c)
Scenario1:
Ans
1. Bull market (upward trend)
Scenario2: Bull market (upward trend)
Scenario3: Bearish Market (Downward trend)
Scenario4: Explosive Pattern
Scenario5: Corrective Pattern
R
0
4cStep1
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